CHENNAI - MONDAY - OCTOBER 12, 2026

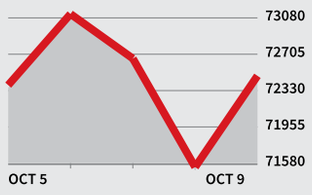
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IN FOCUS

	Week's close	Week's change
Nifty 50	22520.45	+98.50
P/E Ratio (Sensex)	19.22	+0.13
US Dollar (in ₹)	96.73	+0.42
Gold Std 10 gm (in ₹)	148832.00	+1287
Silver 1 kg (in ₹)	221109.00	+280



SELLING IT RIGHT.
IRDAI's proposed reforms will curb mis-selling by lowering upfront commissions and boosting transparency, says Ajay Seth **p3**

SPARK.
Grocery start-ups prioritise quality over speed, redefining convenience for consumers.**p8**

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MONDAY SPECIALS.

CLEANTECH

AgriPV: Up above the ground so high



The government is expected to announce an incentive scheme at the upcoming seventh AgriVoltaics World Conference in Delhi on October 21–23. It has already said that PM-KUSUM 2.0 will have a dedicated AgriPV, or agrivoltaics, component. AgriPV is still at the demonstration and experimentation stage in India. **p6**

CORPORATE FILE

Putting food safety on your plate

The ongoing crackdown by the FSSAI and State food and drug administrations is forcing brands to overhaul their compliance frameworks. With hyper-vigilant consumers calling out brands and retailers on social media and tagging enforcement agencies, the fear of an inspection raid is real. Equally, there is a legal pushback as firms question interpretations, leading to a build-up of food regulation-related litigation. **p7**

India rules out special favours for Starlink as ties with US sour

TOUGH STANCE. Follow security rules, Delhi tells Musk firm as Washington tightens curbs

Amiti Sen
New Delhi



IMPASSE. The growing friction is hurting the ongoing BTA talks, with New Delhi seeing little prospect of progress REUTERS

India is not inclined to extend any special treatment or relax regulatory requirements for Elon Musk's Starlink amid deepening strains in bilateral ties, maintaining that American businesses must follow the same rules and security procedures as other companies operating in the country.

With Washington tightening restrictions on Indian IT companies and professionals, New Delhi sees little reason to show special sensitivity towards US business interests, sources said.

TIES STRAINED

"India-US relations have nose-dived. But we will do what is right for our people," a source tracking the matter told *businessline*. While special favours may be off the table, routine commercial dealings and business engagements between the two economies are expected to continue as usual, the source added.

The source said Starlink was being treated equally to other satellite service providers, including Eutelsat OneWeb and Jio-SES, and would have to complete the compliance process wherever security regulations applied.

"Companies could not be allowed to go through only part of the process and claim that it was sufficient," the sources said.

Musk alleged on his social media platform 'X' that certain "oligarchs" were blocking Starlink to maintain a monopolistic chokehold.

The Communications Ministry rejected Musk's allegations, calling the suggestion of unfair or discriminatory treatment baseless and misconceived.

India's stance reflects growing disquiet over what sources described as Washington's "increasingly callous treatment" of Indian companies and professionals.

Recent US curbs on the Permanent Labour Certification process for select technology firms, including Indian IT companies, have added to the concerns, the source said.

FURTHER CURBS

India is also bracing for possible further curbs on F-1 student visas and J-1 exchange visitor visas, and tighter rules under the Optional Practical Training programme, which lets eligible international students on F-1 visas work temporarily in jobs related to their fields of study, the source added.

The growing friction is also spilling over into the ongoing bilateral trade agreement negotiations, with New Delhi seeing little prospect of progress on the proposed interim deal before the US mid-term elections.

"India will decide its next course of action on the negotiations only after the polls, depending on the results," the source said.

The trade deal has already faced hurdles over unilateral tariff imposition and threats by the US, and also ambitious demands for market access in agriculture.

Indian exporters are currently relatively comfortable doing business in the US, with only an additional 10 per cent tariff under the Section 301 forced-labour investigation applicable over and above regular MFN duties, after the SC invalidated the steep reciprocal tariffs. However, uncertainty persists over potential tariffs under the Russia sanctions legislation and a second Section 301 investigation into excess manufacturing capacity.

Cooling AI stock rally could turn investors to India, says Amundi

Ashokamithran T
Mahesh Ravidas Nayak
Mumbai

The global obsession with AI may be nearing a reality check, and India could emerge as a key beneficiary as investors move beyond the AI-driven market rally, said Vincent Mortier, Deputy CEO and Group CIO of Amundi.

Mortier said India has been overlooked amid the global rush into AI-linked stocks, despite remaining one of the strongest macroeconomic stories among emerging markets. "India is a very interesting proposition because of good growth, sound finances and valuations that are no longer expensive," he said. Mortier cautioned that expectations around earnings growth and monetisation may be overly optimistic, potentially prompting investors to reassess their allocations.

Amundi remains overweight in emerging markets assigning 8-10 per cent of its portfolio to India and China, which is above benchmark weights. Mortier said India deserves a larger representation in global benchmark indices and revealed that around 10 per cent of his personal equity portfolio is invested in India.

Interview on p2

Traditional IT growth set to taper as AI takes centre stage: TCS CEO

Vallari Sanzgiri
Thomas K Thomas
Mumbai



K Krithivasan, CEO, TCS REUTERS

Traditional IT services growth is set to taper as enterprises shift spending towards AI and newer technology services, signalling a structural shift in TCS' growth model, CEO K Krithivasan told *businessline*.

The shift comes as TCS' annualised AI revenue has crossed $3 billion, accounting for more than a tenth of its business. Krithivasan said traditional services would taper, but the decline would be offset "in a significant way" by AI as enterprises increasingly rework their technology strategies around AI.

"Customers are scratching the surface" of AI opportunities, he said, pointing to areas ranging from AI model, asset strategy, agent architecture to data and technology modernisation.

The growing focus on AI is also changing how companies view the broader economic environment. Global enterprises are becoming less willing to wait for geopolitical tensions, tariffs and macroeconomic uncertainty to ease before committing to technology investments.

Over the past six months, customers have talked less about macroeconomic uncertainty and more about the opportunities AI presents, Krithivasan said. While some sectors continue to face pressure from inflation and costs, enterprises increasingly see AI as an opportunity they cannot afford to defer.

GROWTH MULTIPLIER

Addressing concerns around workforce impact, TCS COO Aarthi Subramanian emphasised that AI acts as an efficiency multiplier rather than a cannibalising force. Rather than shrinking headcount, automation-driven productivity gains free up capacity that the firm expects to redirect toward capturing new customer projects, betting that surging transformation demand will outpace internal efficiency gains.

Interview on p3

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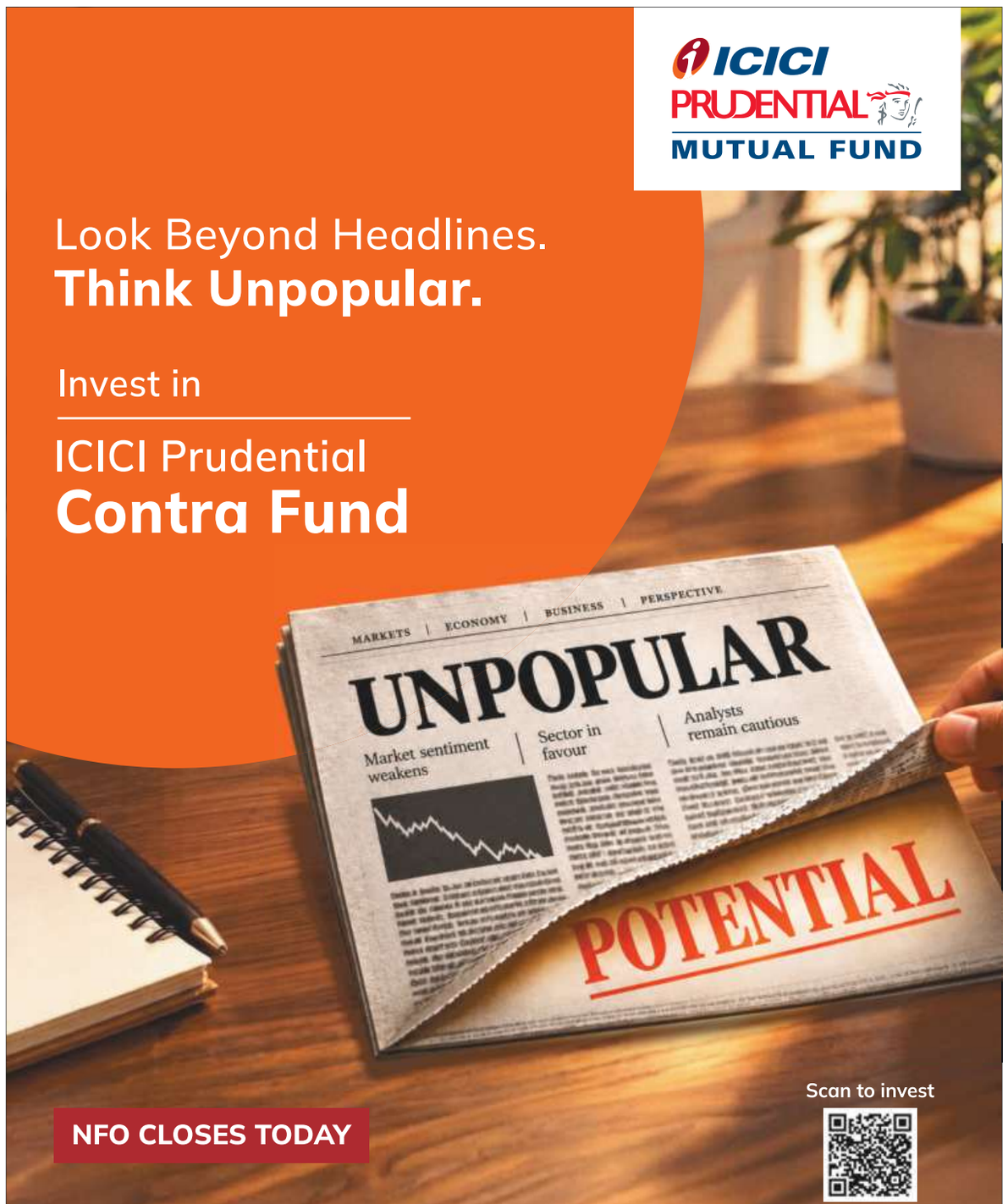
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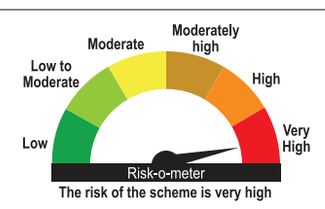
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QUICKLY.

NTPC invites EoI to invest 26% in co-gen projects

New Delhi: NTPC Ltd, India's largest integrated power utility, has invited expressions of interest (EOI) from commercial and industrial entities interested to taking 26 per cent equity in co-generation projects. The initiative aims to explore opportunities to develop co-generation facilities to meet industrial requirements for steam and electricity, along with integrated power supply solutions based on coal, renewable energy and battery energy storage systems (BESS), the power PSU said in a statement. With industries increasingly focusing on energy security, cost optimisation and sustainability, co-generation offers an opportunity to enhance overall energy efficiency by producing steam and electricity through an integrated system. It reflects NTPC's commitment to expanding its energy solutions portfolio and strengthening partnerships with industries.
PTI

Empowering States is key to Viksit Bharat: PM

DEVELOPMENT MANTRA. Always committed to cooperative federalism, says Modi at the inauguration of projects totalling ₹13,000 crore in Chennai

Our Bureau
Chennai

Prime Minister Narendra Modi on Sunday said empowering States was central to India's development, emphasising that the country's progress depended on enabling individual States to achieve their aspirations.

Addressing a gathering in Chennai at the launch of over ₹13,000 crore worth of development projects at IIT Madras, Modi said his experience as a Chief Minister had strengthened his understanding of the expectations of States and shaped his approach towards cooperative federalism.

Modi inaugurated the 15-km Poonamallee-Vadapalani stretch of Phase II of the Chennai Metro Rail Project, built at a cost of around ₹4,900 crore and laid the foundation stone for and dedicated various development projects. "I have always carried the mantra of developing the country through the development of the State," he said in the presence of Tamil Nadu Chief Minister C Joseph Vijay. The PM said changes in governments had not altered his commitment to the State's development.

"In the last 25 years, I have always accorded topmost importance to national progress and cooperative federalism. I have had the honour of working with Jayalalithaa, Karunanidhi-ji, O Panneerselvam, Edappadi K Palaniswami, MK Stalin and now Vijay. My commitment to the development of Tamil Nadu and to serving its people has always remained unwavering," he said

PM noted that initiatives such as Make in India and Vocal for Local were benefiting industries in the State. The Centre was working to strengthen the entire manufacturing chain, from components and technology to finished products, he said.



Prime Minister Narendra Modi and Tamil Nadu Chief Minister C Joseph Vijay in Chennai on Sunday BIJOY GHOSH

KEY PROJECTS

The Centre is investing around ₹17,000 crore to develop the VO Chidambaranar Port in Thoothukudi as a megacontainer and green energy hub. Once completed, the project will enable ultra-large container vessels to call at the port, strengthening Tamil Nadu's links with global trade, Modi said.

Reiterating the need for collaboration between the Centre and States, Modi said the Union government was committed to providing the support needed for Tamil Nadu's continued development.

Modi laid the foundation stone of and inaugurated key National Highway projects, including the 36-km, four-laned Vadugapatti-Therkuvenganallur section of NH-744, worth around ₹3,700 crore. He also laid the foundation stone of the Group II/III Lube Oil Base Stocks (LOBS) project at the existing Manali Refinery of Chennai Petroleum Corporation Limited (CPCL) in Chennai costing around ₹1,620 crore. At IIT-Madras, Modi dedicated to the nation the Sudha Gopalakrishnan Brain Centre (SGBC) at IIT Madras.

Clear metro phase III, release ₹5,110 cr education funds: TN CM

Chief Minister C Joseph Vijay urged the Centre to expedite approvals for key infrastructure projects in the State, including the Chennai Metro Rail Phase III, metro rail projects in Coimbatore and Madurai, and high-speed rail corridors connecting Chennai with Kanyakumari and Coimbatore. He also sought the release of ₹5,110 crore in pending central funds under the Samagra Shiksha scheme without any conditionalities.

Addressing an event in Chennai on Sunday where the PM launched development projects worth ₹13,000 crore, CM Vijay emphasised the role of States in the country's development.

Tamil Nadu had consistently contributed to India's economic, social and cultural progress; cooperation between the Union and State governments should translate into tangible benefits for people, Vijay said.

Vijay also asked the Prime Minister to reconsider the proposals for metro rail projects in Coimbatore and Madurai, citing the future development and economic growth of western and southern Tamil Nadu. He sought approval for an inter-State metro rail link between Hosur in Tamil Nadu and Bommasandra in Karnataka.

Vijay urged the Centre to accord priority to the Godavari–Cauvery river linking project and take it up as a national project.

'Quarter of India's labour force highly exposed to AI'

Our Bureau
Chennai

Nearly a quarter of the country's labour force is engaged in work that is 'highly exposed' to AI according to a new study, one of the first of its kind done using the country's own labour data.

The analysis from the Centre for Finance and Economic Research, Great Lakes Institute of Management took into account data from the Periodic Labour Force Survey (PLFS).

The higher exposure to AI can have both complementary and substitution effects depending on the job profile with 7.6 per cent of the workforce expected to see increased productivity, while 11.4 per cent may face substitution risk.

However, in a plus, occupations such as agriculture as well as skilled trades — which together account for 54.4 per cent of the workforce — face relatively low substitution risk — both from AI or conventional machine driven automation.


V Anantha Nageswaran, Chief Economic Advisor, flanked by Vidya Mahambare (left), Director (Research and FPM) and Chairperson of Centre for Finance and Economics Research, and Gautam Lakhamraju, COO, Great Lakes Institute JOHAN SATHYA DAS JAI

The report, *AI, Automation and India's Workforce*, is authored by Vidya Mahambare, Vivek Jadhav, and Vishnu Venugopalan.

Unveiling the report at an event here on Sunday, V Anantha Nageswaran Chief Economic Advisor, Government of India noted that the task before policymakers is to improve the quality of existing exposure through AI literacy, task redesign, and reskilling.

AI FOR PRODUCTIVITY

In the report's foreword, the CEA said that employment in high-routine occupations that are susceptible to conventional automation and mechanisation regardless of what happens with AI, has risen by 4.8 percentage points since 2012. AI now competes for routine tasks, he said, stressing that the window to reskill and learn how to use AI for productivity is open.

Health, elderly care, education and the skilled trades, and other non-routine, high-complementarity occupations are areas where India needs more workers, he adds.

Meanwhile, the report mentioned that the share of people in occupations with more substitution risk is higher for younger employee cohorts — at 39.4 per cent in the 15–24 age group. In fact the 15-24 cohort have the worst ratio in terms of high-routine jobs to complementary jobs at 7.6 to 1 against roughly 4 to 1 for every older cohort.

As for the specific States, Maharashtra, Haryana, Kerala and Tamil Nadu have the highest shares of workers in AI-complementary occupations to build on.

As policy recommendations, "Prioritise young, urban labour-market entrants, the unemployed and those in routine clerical, back-office and low-discretion technical roles for training in judgement, verification, and client engagement," it said. Also target new AI-induced jobs such as data annotators and AI trainers, it noted, among other recommendations.

GCC exits test office demand as AI drives productivity, headcounts drop

Aishwarya Kumar
Bengaluru

The closure of small global capability centres (GCCs) in India, including Cambium Networks' Bengaluru centre, which affected around 200 employees, and US retailer Hy-Vee's India engineering centre, impacting around 150, has raised questions about whether global workforce restructuring could translate into fewer office seats and smaller leases. However, commercial real estate players say these exits have yet to signal a broader slowdown in demand.

"We are seeing high demand from large GCCs for more flex spaces, which in a way is offsetting these small closures," said Peush Jain, Managing Director – Commercial Leasing & Advisory, Anarock Group.

Jain said the growing focus on productivity and artificial intelligence could temper incremental demand for office seats, as GCCs take on greater responsibility for products, platforms and AI without necessarily expanding headcount at the same pace.

According to Anarock, GCCs accounted for 45 per cent of the 42.6 million sq ft of gross office leasing across the top seven cities in the period covered by its data. More than 40 per cent of the space leased by GCCs was for flexible workspaces.

Kushal Bhargava, Founder of MyBranch, said individual closures and headcount reductions should be viewed in the context of companies recalibrating their global business plans rather than as evidence of a wider slowdown.

HIRING FREEZES

Manas Mehrotra, Founder of flexible and managed workspace provider 315Work Avenue, said GCCs were increasingly using flexible workspaces to scale operations without making large upfront commitments.

GCCs account for more than 40 per cent of 315Work Avenue's portfolio, with several clients occupying between 100 and 500 seats. The emerging picture is therefore less one of a broad-based retreat than a change in how GCCs consume office space.

'India has been overlooked in the AI rush; its weight in global benchmarks should be double'

bl.interview

Ashokamithran T
Mahesh Ravidas Nayak
Mumbai

As global investors flock to AI winners and mega-cap technology stocks, Vincent Mortier, Deputy CEO and Group CIO of Amundi, remains bullish on India. The €2.6 trillion asset manager is overweight on India, and sees value in emerging markets and commodities, and believes global benchmarks understate the country's true economic importance.

Edited excerpts:

Are you bullish on India?

The equity market, for the last two years, has been out of fashion in a way. India has been a victim, in a sense, of relatively weak investor interest. This is mainly because of two factors. One is that India is not perceived to be in the winning camp of AI, and second is the perception that India is dependent on, or vulnerable to, energy supply disruptions, tariffs, and broader geopolitical uncertainty.

Was the currency level an issue?

The track record of the Indian rupee has generally been one of depreciation, meaning foreign investors can see gains eroded by currency movements. In the medium term, however, the rupee is protected by the public debt and fiscal challenges facing advanced economies. While interest-rate differentials could keep the currency soft in the short term, India's supply-demand dynamics and macroeconomic fundamentals should help the rupee perform better

Do you feel that AI is on a downtrend?

There has been a rush of money into data centres, memory chips and companies embedding AI into products and services.

The issue is: how do you monetise it? For most use cases, you do not need frontier models. As more models emerge, including inexpensive open-source alternatives, token prices will decline, creating a drag on earnings. I think the market is too optimistic on earnings growth because the revenue generated will likely be lower than many investors expect.

Why could a cooling of the AI trade benefit India?

India has been overlooked because investors have been focused on AI winners, particularly in the US technology ecosystem. If the market starts questioning whether the massive investments in AI can generate the earnings currently expected, investors could broaden their search for opportunities. India stands out because of its growth, strong macroeconomic fundamentals and more reasonable valuations.

> India has been a victim of a lack of investor interest because of the AI trade and geopolitical concerns
>
> **VINCENT MORTIER**
> Deputy CEO and Group CIO of Amundi



Foreign investors often point to taxation and regulatory complexity when selling India. Would the market still be attractive without the recent reforms?

Today, it is more a matter of perception than reality, although perception is important for investors. What foreign investors value most is simplicity, predictability and consistency in the tax framework. As a general principle, capital gains should ideally be taxed in the investor's home jurisdiction rather than in the market where the investment is made.

Do your clients still raise concerns about India's tax regime?

They did a few years ago, but not recently. Today, those discussions are far less frequent, with investors more focused on India's growth prospects, market opportunities and macroeconomic fundamentals.

You are responsible for managing €2.6 trillion. Where are you investing today? Which regions do you like?

We are much more diversified than the indices across countries, sectors and company size.

We are overweight on emerging markets, including Latin America, Eastern Europe and India. India has not been performing that well recently, but we continue to like it. On Greater China, we are more neutral.

The issue is that benchmark indices already underweight India and China. If you look at market capitalisation, India should have a higher weight in the benchmarks, so we remain overweight relative to the benchmark.

Which sectors do you like? Where are you investing?

We like dividend-paying assets, equities and emerging markets. We also like basic resources and gold. We are only at the beginning of a commodity supercycle. Copper is a good example. We also like certain energy companies, particularly renewable energy players, as they are now becoming profitable. Some capital-intensive sectors, including utilities and pharma, have become cheaper. In technology, we remain selective because valuations are still high.

Are you personally invested in India?

Yes. I sold my India exposure about six months ago but bought back two weeks ago through a Nifty-linked ETF. India represents around 3 per cent of my overall portfolio and about 10 per cent of my equity allocation. My personal portfolio is relatively low-risk, but I remain constructive over the medium term.

How do you see the home market evolving? Are concerns about a debt crisis in France worrying?

Europe is at a turning point. It is not perceived as an AI thematic play, and many US investors view Europe and India through a similar lens.

There is a greater sense of urgency to improve integration and strategic autonomy. So, Europe, led by Germany, is investing heavily in defence, energy independence and infra. The challenge is financing these investments, which requires reallocating resources. That process is underway, though the room for manoeuvre is limited.

Vision 2047 projects finished steel demand to triple to 505 million tonnes

Suresh P Iyengar
Mumbai

The government has projected India's finished steel demand to reach 505 million tonnes by 2047, requiring crude steel capacity of 604 mt, under its National Steel Policy, Vision 2047, which aims to reduce raw material import dependence and accelerate the sector's transition to cleaner production.

PRODUCTION BOOM

The domestic crude steel production increased from about 89 mt in 2014-15 to 170 mt in 2025-26, while finished steel consumption rose from 77 mt to 164 mt. The country's share of global crude steel production grew from 5.2 per cent in 2014 to about 8.9 per cent in 2025, with installed capacity reaching 220 mt per annum.



The policy projects per capita steel consumption of 302 kg and steel exports of 45 mt by 2047.

Construction and infrastructure account for about 67 per cent of domestic steel consumption, with automobiles, engineering goods, appliances and packaging contributing another 28 per cent.

Imported raw materials account for 65-70 per cent of steelmaking costs. While India is largely self-sufficient in iron ore, it imports nearly 92 per cent of its coking coal requirement.

DOMESTIC EXPANSION

The policy proposes expanding domestic mining and coal washeries, acquiring overseas assets, securing long-term supply arrangements and using artificial intelligence to optimise coal blends. It also focuses on manganese, limestone and other critical inputs.

The secondary steel sector, comprising around 2,550 units and nearly 47 per cent of crude steel production capacity, will receive support for technology upgrades, raw material access, skills and safety.

DECARBONISATION DRIVE

The steel sector contributes 10-12 per cent of India's carbon dioxide emissions, with average emission intensity of 2.54 tonnes per tonne of crude steel, against the global average of 1.92 tonnes. The policy envisages a phased transition towards net zero by 2070 through energy efficiency, renewable power, greater scrap utilisation and hydrogen.

It also seeks to strengthen domestic production of specialty and stainless steel, develop scrap-processing infrastructure and promote indigenous technology.

AI-based import monitoring and trade-remedial measures will help curb substandard steel imports.

SAFETY STANDARDS

The policy proposes a Steel Industry Safety Council, periodic skill-gap assessments and upgraded training institutions to improve workforce capabilities and industrial safety.

Brokerages expect weak revenue growth, margin recovery for Wipro in second quarter

Sanjana B
Bengaluru

Wipro is expected to report modest revenue growth in the September quarter, with brokerages projecting a 0.5–1 per cent sequential decline in constant-currency revenue from its IT services business amid continued demand pressures, even as margins are expected to improve. The company will announce its Q2FY27 results on October 15. Below are some key moniterables:

REVENUE AND PAT

According to a poll of brokerages, revenue for the upcoming quarter is expected to range between ₹24,885 crore and ₹24,924 crore, growing 1.7–1.8 per cent quarter-on-quarter and 9.6–9.8 per cent year-on-year. Constant-currency (cc) revenue growth is projected to range from -0.5 per cent to -1 per cent q-o-q.



Profit after tax is expected to range between ₹3,335 crore and ₹3,410 crore, translating into a q-o-q change of -0.5 per cent to 1.5 per cent and y-o-y growth of 2.8–8.8 per cent.

"We expect a 1 per cent sequential USD revenue decline in the IT services segment, including contributions from Mindsprint and Alphanet, after factoring in ~10 bps cross-currency headwinds," observed an Emkay Research report.

Meanwhile, Motilal Oswal Financial Services noted that Wipro is expected to see sequential improvement, supported by the reversal of wage hike impacts and cost measures. However, the company is expected to be the only large-cap to decline 0.5 per cent q-o-q CC despite inorganic contribution during the quarter.

MARGINS, GUIDANCE

Brokerages expect Wipro's EBIT margins to improve by 40 bps sequentially in the upcoming quarter, supported by currency tailwinds, operating efficiencies and the reversal of wage hike impacts, although investments in AI-led businesses and deal ramp-ups could partially offset the gains.

Emkay expects Wipro to guide for constant-currency revenue growth of -2 per cent to 0 per cent q-o-q for the third quarter of FY27. It expects IT services EBIT margins to improve by 50 bps sequentially, driven by currency movements and operating efficiencies.

PL Capital expects margins to expand by 40 bps q-o-q, primarily due to currency benefits and cost synergies, partly offset by deal ramp-ups.

PL Research expects deal wins to range between $2.7 billion and $2.8 billion during the quarter.

The MOFSL report noted that BFSI is expected to recover in 2Q, while EMR and Healthcare continue to remain under pressure.

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AI is growth driver, not cannibalising existing revenues: TCS

bl.interview

Thomas K Thomas
Vallari Sanzgiri
Mumbai

As artificial intelligence (AI) reshapes the information technology services industry, Tata Consultancy Services (TCS) is betting that productivity gains from AI will create more work than they displace. In an interview with *businessline*, CEO K Krithivasan and COO Aarthi Subramanian discuss the tapering of traditional IT services, the changing nature of enterprise AI demand, and how human-AI collaboration could reshape the way technology services are delivered.

Edited excerpts:

Is it time to say that the traditional IT business, 90 per cent of your business today, has plateaued and the new bets will be the future drivers?

Krithivasan: Every time you have a new technology cycle coming in and particularly a fundamental technology change, there is a change in what constitutes traditional business. This has happened in the past cycles too.

What was considered traditional then was mostly mainframe and such. Now, everything except AI is considered traditional. Slowly, services like those will taper off or be significantly offset.

Many customers now think AI provides a viable opportunity for tech reduction and cost optimisation. You have business ops modernisation, AI for business outcomes. Customers are just scratching the surface, figuring out where the money would come from, given the macroeconomic situation.

Traditionally, the money comes from vendor consolidation. Fortunately, we have participated well in that. We are quite optimistic about where things will be in the medium term.

Subramanian: Today, we have to look at our customers backward. We see three parallel opportunities: modernising and optimising traditional IT stacks, continuing digital transformation as customers upgrade legacy systems, and deploying pure-play AI. While AI is a distinct growth opportunity, it cuts across all three areas by changing how technology is delivered, making services more efficient and driving further modernisation.

> Many customers now think AI provides a viable opportunity for tech reduction and cost optimisation
>
> **K KRITHIVASAN**
> TCS CEO



But given that macroeconomic headwinds remain unchanged, how are CXOs placing their bets at this point?

Krithivasan: If I look at the last six months, customers are not talking about macro uncertainty. Slowly, they are realising, AI is a bigger opportunity.

They need to start moving away. They cannot wait for macro uncertainty to settle down. Some industries are impacted. But for industries where AI is a solution, moving into the technology solution adoption is not a problem.

We met all our customers in Malta; macro uncertainty was more of a passing reference.

You reported $3 billion AI revenue. How much of this is incremental new business? Does this cannibalise your traditional network?

Subramanian: AI is a growth driver, it is not cannibalising into existing revenues. AI has become an umbrella term. It includes preceding technologies because to solve a problem or to go after a business opportunity, an enterprise may need a combination of technologies.

We are significantly investing in AI driving efficiencies and having a playbook, a 'Human+AI' services autonomy model. The new services are net new opportunities. What you could do for X, you can probably do it for 0.8X. Since, the technology change is rapid, the adoption change management is also becoming extremely important. That is what TCS does well at scale.

> We are significantly investing in AI driving efficiencies and having a playbook, a 'Human+AI' services autonomy model
>
> **AARTHI SUBRAMANIAN**
> TCS COO



What is the number one difficulty that you are facing when you are integrating the Human+AI?

Subramanian: We are all trying to learn how to create a value with this technology. Our belief is that with AI, the workflow or the process re-imagination can truly happen and it has started to happen. We are breaking it into: how AI can be used by our employees which we call for AI for individual productivity and agents and service delivery.

For customer workflows, industry value chain, what can an agent do? What can a human do? A human is always in the loop in control. This is a great opportunity to redesign process across delivery and customer specific industry value-chain workflows. We are creating industry specific platforms where we are bringing human+AI, agentic workflows and taking it to a customer to see. While everyone is getting impatient with AI, its adoption is much faster than digital adoption. Now, enterprises have to do digital+AI together.

As the AI productivity is increasing, how are you seeing the revenue per employee and the number of people that are required to deliver the same quantum of work?

Subramanian: While AI is improving productivity, demand is also coming through. Last two quarters, we hired trainees, experienced professionals and for the last two quarters our net headcount addition is positive. That is an indicator that there is more demand. You will create bandwidth of the efficiencies and when you do that, more often than not, more customer projects come in. So, basically you are doing more work with the capacity that you create.

Krithivasan: As things stabilise, the number of our employees should go up.

How do you address the worries of AI going rogue?

Subramanian: At the end of the day, deploying technology in an enterprise is serious business. It is a responsibility and enterprises have a playbook for responsible deployment of technology. Now, we call it AI governance, but technology governance has been very intrinsic to deploying technology in organisations.

That continues to be enhanced for the new things that are required from AI. From our experience, customers are much more advanced today on responsible deployment of AI, putting guardrails, governance, agentic control plane.

Enterprises are not going to frivolously put in a technology and experiment in production. Engineering discipline has to come to other areas also. Whatever happened in the frontier lab, it is not an agent issue, it is engineering.

Top banks set for mixed Q2 show as NIMs weaken despite profit growth

Ashokamithran T
Mumbai

Banks are expected to deliver a mixed profitability performance in the second quarter of the current fiscal year, according to analysts and brokerage reports.

An analysis of the earnings estimates for the top five banks by gross advances — State Bank of India (SBI), HDFC Bank, ICICI Bank, Bank of Baroda and Axis Bank — shows that profit after tax (PAT) is expected to grow between 7 per cent and 17 per cent year-on-year in the quarter ended September 2027.

A report by Kotak Institutional Equities estimated a conservative PAT growth of 7.2 per cent year-on-year and 3.25 per cent quarter-on-quarter.

"We expect private banks to report around 20 per cent year-on-year earnings growth, aided by a lower base in select banks such as IndusInd Bank and Axis Bank, while PSU banks could see flat-to-declining earnings growth, factoring in the recent disclosure from Bank of Baroda," Kotak said in its report.

STRONGER GROWTH

Analysts at Systematix forecast that the combined PAT growth of the five banks will come in at slightly over 13 per cent year-on-year, while Motilal Oswal Financial Services expects the quarter to be stronger, with PAT growth of about 17 per cent.

PROJECTIONS

Brokerages also estimate PAT to grow between 3.3 per cent and 13.3 per cent on a sequential basis

Brokerages also estimate PAT to grow between 3.3 per cent and 13.3 per cent on a sequential basis.

UNDER PRESSURE

"Margins may appear lower because of FCNR(B)-related impacts. If that effect is excluded, margins should remain largely stable on a quarter-on-quarter basis," said Piran Engineer, Senior Research Analyst for the banking sector at CLSA.

"However, on a year-on-year basis, margins are likely to decline because the base was higher in the corresponding quarter last year. As a result, net interest income (NII) growth for the sector is expected to be in the low teens, while earnings growth could be in the mid-teens," he added.

All three brokerages expect that while overall PAT growth will remain stable, net interest margins (NIMs) will face pressure due to the liquidity generated by FCNR (B) deposits.

"NIMs are expected to decline sequentially across most banks, with ICICI Bank, Kotak Mahindra Bank and Karur Vysya Bank likely to witness more than a 10 basis point (bps) fall quarter-on-quarter.

Bank of India, Axis Bank, HDFC Bank, IndusInd Bank and Bank of Baroda are expected to report net interest margins contraction in the range of 5-10 basis point," analysts at Systematix said.

They attributed the pressure largely to the higher costs associated with FCNR (B) deposits and the leverage provided under the scheme.

FCNR(B) IMPACT

Across large-, mid- and small-cap banks, PAT growth is expected to remain within a broad range, depending on the extent of FCNR(B) mobilisation, analysts said.

There is also likely to be a divergence between public sector banks and private sector lenders, with government-owned lenders expected to see a smaller FCNR(B) related impact on net interest margins than their private-sector peers, Engineer said.

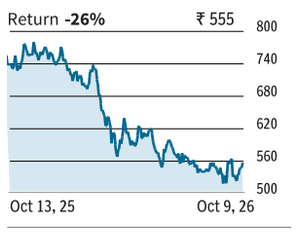
The excess liquidity generated through FCNR(B) deposits is expected to be withdrawn by next quarter, leaving banks with limited surplus funds available for incremental lending, according to another analyst at a foreign brokerage.

TODAY'S PICK.

HDFC Life Insurance Company (₹555): BUY

Akhil Nallamuthu
bl. research bureau

HDFC Life



The stock of HDFC Life Insurance Company gained 4.2 per cent last week.

But the trend has been bearish over the last year, and the scrip is facing a resistance at ₹565, an important level.

PRICE ACTION

Nevertheless, the price action shows that there has been good buying interest between ₹510 and ₹530 over the past few weeks. We anticipate a breakout of ₹565 soon, which will turn the outlook bullish.

The stock can appreciate to ₹650 in a few weeks following the breach of ₹565.

Participants can consider buying now at ₹555 and accumulate if the price dips to ₹535.

Place stop-loss at ₹495. When the price rallies to ₹590, raise the stop-loss to ₹560. On a rally to ₹625, alter the stop-loss to ₹595. Book profits at ₹650.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

Centre considers tax support and funding for early SAF deployment

Rohit Vaid
New Delhi

The Centre is considering financial as well as tax support measures to encourage the early deployment of sustainable aviation fuel (SAF), industry sources told *businessline*.

The proposed package includes viability gap funding (VGF) for first-of-their-kind production plants and rationalisation of goods and services tax (GST) and excise duties.

Concessional finance and feedstock support linked to verified traceability and quality standards have been proposed.

As per sources, these measures form part of the upcoming National SAF Policy and market-development framework, which are being finalised.

HIGH COSTS

The initiative envisages time-bound support to help create a market for SAF, especially given its high production cost, which remains a major concern for airlines and fuel producers.

Under the proposed approach, VGF would support initial production facilities, while concessional finance would help address funding requirements during the early stages of development.

Furthermore, feedstock support would be linked to verification of the origin and quality of inputs used in production.



EXPORT POTENTIAL. India has the potential to produce SAF beyond its domestic requirements, said Civil Aviation Minister Ram Mohan Naidu PTI

Sources said that details regarding the proposed outlay, tax changes and eligibility conditions are being worked out.

The proposal assumes significance as Indian carriers prepare to meet their obligations under the Carbon Offsetting and Reduction Scheme for International Aviation (CORSIA) from 2027.

BLENDING TARGETS

Separately, India has announced indicative SAF blending targets in aviation turbine fuel (ATF), initially for international flights, of 1 per cent in 2027, 2 per cent in 2028 and 5 per cent by 2030.

Meanwhile, industry estimates have cited SAF prices at two to six times those of conventional jet fuel.

An industry insider pointed out that the absence of supporting infrastructure and an ecosystem adds to the cost burden of SAF production.

UPFRONT INVESTMENT

Notably, establishing production facilities requires significant upfront investment, while access to finance remains a challenge, particularly during the early stages of development.

On an official level, the Centre is considering measures to provide the push that the sector needs.

Speaking with *businessline* on an earlier occasion, Union Civil Aviation Minister Ram Mohan Naidu said that India holds a natural advantage in the segment, given its geographical location and feedstock availability.

"The first advantage is our geography, which allows us to become an exporter, and the second is the massive availability of feedstock," Naidu said.

According to the Minister, India has the potential to produce SAF beyond its domestic requirements, positioning the country as a major exporter.

He also pointed to India's skilled labour, manufacturing capabilities and refining infrastructure as factors supporting its competitiveness.

COST OF PRODUCTION

Nevertheless, the cost of production remains a challenge.

"SAF is more expensive than regular jet fuel, so higher volumes are required to bring down costs," Naidu said.

The proposed policy framework is expected to cover blending obligations, sustainability criteria, feedstock standards and alignment with CORSIA, sources said.

Additionally, carbon-market integration and implementation responsibilities form part of the proposed framework.

Focus on actual payouts, not just claim settlement ratios, says IRDAI Chairman

bl.interview

Shishir Sinha
New Delhi

The Insurance Regulatory and Development Authority of India (IRDAI) is confident of curbing mis-selling with the help of the proposed reforms. IRDAI Chairman Ajay Seth said a better-structured mechanism has been proposed, comprising linking commission payout to persistency and prohibiting the bundling of loan with insurance.

Edited excerpts:

What has been feedback so far on the consultation paper titled 'Recalibrating Economics of Insurance Distribution'?

The feedback so far has been active and wide-ranging, which is what consultation should generate. We have been meeting insurers, distributors, industry bodies and associations, and comments are open until October 25.

It would be premature to draw conclusions from the feedback before the due date. Once it does, every comment will be examined carefully, and suggestions backed by data and sound economic logic.

Based on this, we will issue draft regulations, which will again be placed for public consultation before final notification. As a regulator, we hear from regulated entities. But for these reforms, the views of the public matter even more.

Why is there a need to review the expense of management (EoM) and capping the commission?

What we are doing is a recalibration based on experience and evidence. The 2023 framework gave insurers flexibility, relying on board-approved commission policies, in the hope that the savings would ultimately reach policyholders. Instead, the flexibility went into distributor payouts.

Board approval often became a formality, and rewards added 30-60 per cent on top of base commission. Private life insurers' total expenses rose from around 16 per cent in FY21 to around 22 per cent now; for private general insurers, from around 25 per cent in FY19 to around 32 per cent.

Meanwhile, premiums have only tracked GDP, not outpaced it, and the number of policies has not grown enough. The lesson is not that flexibility is inherently wrong, but that flexibility without adequate guardrails can produce unintended outcomes. The proposed framework, therefore, combines discipline with differentiation.

The objective is to move from commission-led distribution to quality and value-led distribution.

> The objective is to move from commission-led distribution to quality and value-led distribution
>
> **AJAY SETH**
> IRDAI Chairman



When can we expect the regulations?

We will consider all feedback and then issue draft regulations, which will again be placed in the public domain for comments before the final regulations are notified.

We are considering two possible dates for implementation: January 1, 2027 or April 1, 2027. The expenses of management limits will follow a phased glide path giving insurers time to restructure their cost base. There is an earlier-the-better approach, but getting the reforms right is more important than speed.

What do these proposals mean for policy holders?

The reforms are designed around one test: does the ordinary policyholder get better value? Lower costs should show up as lower premiums or a more moderate rate of increase, better returns on savings products and stronger claim outcomes. Price and quality are inseparable, so affordability must go with better products and service. Policyholders will also see a fairer buying experience. Product and price information should be available without first surrendering personal details.

Mis-selling is a big concern, how these proposals aim to check that?

Mis-selling arises because upfront commissions are too high and there is hardly any reward for persistence; first-year commission can go as high as 40-50 per cent. The reforms tackle this structurally in the following manner:

The incentive is removed. First-year commission is lower, with more paid as the policy persists. This orients behaviour towards selling right so that the policy reaches maturity — that way it delivers best value to everyone.

Suitability becomes a real obligation. Each sale records the customer's needs and why the product fits and is linked to the person who solicited it.

The remedy is meaningful. Where mis-selling is established, the full premium goes back to the policyholder, the commission is clawed back, and responsibility is joint and several between the insurer and the distribution entity. The end seller is also identified.

Compulsory bundling with loans is curbed. Finally, the Public Insurance Registry (PIR) will make the conduct of everyone involved visible, so that customers can know not just their product but also their insurer and distributor.

There have been complaints that health insurance companies are arbitrarily hiking the premium citing medical inflation at 14-15 per cent? Has IRDAI done any study about such inflation?

Medical inflation and rising healthcare costs are real, but they cannot explain every increase. Premiums are a function of claims experience which depends largely on healthcare costs but is also impacted by insurers' costs — operations and distribution. The economics must be seen as a whole.

The proposed PIR will also make comparable data available, including how often and by how much insurers revise premiums.

There are very high number of complaints about claim rejection under health insurance? What kind of solution does IRDAI have for this?

We share the concern. Grievances in general insurance have risen significantly, and claims make up a large share of them. Our solution works at three levels:

•Existing safeguards: No claim can be rejected without approval of the insurer's Claims Review Committee, with reasons citing specific reasons policy terms.

•Removing the root cause of disputes: Five hospital-insurer working groups, guided by IRDAI and NHA, have been addressing a joint code of conduct, standard provider categorisation, scaling up the National Health Claims Exchange, and claims and medical inflation. A paper on standardising the claims process will follow, which is aimed at improving claims management.

•Claims reforms and transparency: Comprehensive claims management reforms are planned for FY28, and the PIR will let customers see an insurer's claims record before they buy.

Headline settlement ratios are not enough; what matters is how much is actually paid. And we are actively monitoring that.

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Musk's invective over Starlink approval lacks basis

Elon Musk's broadside against Mukesh Ambani and the Indian government over the delay in launching Starlink in India is poor optics and unlikely to speed up the process. Accusing an Indian industrialist of effectively controlling the government is hardly the best way to persuade the Centre to expedite regulatory and security clearances. The Centre has the prerogative to examine the security implications of allowing a foreign-controlled satellite communications network to operate over India.

Starlink's global experience illustrates why governments would want safeguards. In India, authorities sought information from SpaceX after a Starlink terminal was found on a Myanmar-origin boat carrying more than 6,000 kg of methamphetamine in a record drug-smuggling case. In Ukraine, Kyiv has reported that Russian forces obtained Starlink terminals illicitly and used them on the battlefield, something SpaceX has denied. In Sudan, Starlink terminals smuggled into the country have been used extensively in areas controlled by the Rapid Support Forces, despite the service being unauthorised there. And in Southeast Asia, Starlink terminals have been reportedly used by scam camps. None of this means Starlink is responsible. But it does demonstrate the enforcement challenges posed by a satellite network that can provide connectivity beyond the reach of conventional terrestrial infrastructure.

The charge that Ambani has somehow blocked Starlink does not sit comfortably with India's satcom policy history. When the government liberalised the space sector, it was opened to private and foreign participation despite opposition from existing mobile operators, including Mukesh Ambani's Reliance Jio. On perhaps the most important issue, spectrum, the government once again went against Jio. Jio argued that the government should auction satellite spectrum to ensure a level playing field with terrestrial telecom operators. Instead, the government decided to assign satellite spectrum administratively. The regulatory framework was not designed to keep Starlink out. For instance, the Centre rejected the regulator's proposal to fix an annual charge of ₹500 for urban satellite subscribers.

However, the government needs to answer some questions. If security concerns are now significant enough to hold up the rollout, why were they not resolved at the policy stage? Why encourage foreign investment through policy and then allow the process to drift? The case for satcom in India is compelling. Fibre and mobile towers are expensive or impractical in mountains, islands, border regions and sparsely populated areas. Satellite connectivity can fill these gaps and provide backhaul where terrestrial networks cannot. The government should therefore decide quickly. If security is the issue, enforce conditions. If foreign control is the concern, India can lower FDI thresholds in such sensitive sectors, as in the past. What India does not need is either Musk's public pressure campaign or an opaque regulatory limbo.

LINE & LENGTH.



TCA SRINIVASA RAGHAVAN



Can rate hikes control cost-push inflation?

Yes and no, because no one knows how much the rates have to increase before the demand for credit slows sufficiently and how long this process will take

Indians who compare India and China have a live example of why our GDP is less than $5 trillion and China's is around $20 trillion. It shows how we obsess over the politics of rights while China obsesses over the economics of efficiency.

So while we are grappling with political losers protesting about election results, China is preoccupied with a much bigger problem: interest rates. As, indeed, is the rest of the world. But we plough a lonely furrow.

Today, after having stayed low for around 15 years, interest rates are going up the world over. The reason is the need to control cost-push inflation caused by the misadventures of Vladimir Putin, who invaded Ukraine in 2022 and Donald Trump, who attacked Iran earlier this year. Trump started the tariff wars as well.

Between them they have made manufacturing more expensive for all producers by conducting wars that have increased the cost of oil, gas, electricity and transportation. Hence cost-push inflation.

Central banks of the world think that by raising interest rates they will dampen the demand for credit and that this in turn will help lower the rate at which prices are rising. That's the orthodox economic theory.

It used to work but will it now? Well, yes and no because no one knows how much the rates have to increase before the demand for credit slows sufficiently and how long this process will take.

The problem with controlling cost-push inflation is that it impacts not only corporate demand for money, it also slows down consumer demand. This happens not just because EMIs cost more. It happens also because jobs are not created, and sometimes even lost.

So all things considered, whether we blame Putin and Trump or central banks or all of them, the world is in a giant slowdown mode. Global output and jobs are about to start shrinking even more. And the slowdown will last for about a decade if not more because of the uncertainty caused by AI.

NO OUTS LEFT

This poses a massive dilemma for governments. Politically they need to intervene with the usual Keynesian tools of expanding central bank balance sheets. Economically, however, as we can see from the rising interest rates, they can't use these tools any more. There's simply no room left for higher government borrowing. Or not much.

The most visible example of this tussle is in the US where the government wants interest rates to come down and the central bank has raised them. How this will end is not hard to tell.

But the head of the central bank will be under pressure, which won't guarantee lower rates. The resulting tension will add another dimension to global economic uncertainty.

Much, of course, will depend on how the world responds to lending to America: with its money or its feet. So far it's not clear what is happening.

The problem with controlling cost-push inflation is that it impacts not only corporate demand for money, it also slows down consumer demand

But America isn't the only large economy in this sort of trouble. France, too, is going down the tube because its welfare programmes can't be funded any longer. The spectre of a default on its interest payments is hanging very low now.

Economies in the East aren't very much better off. Their problem is that they can't sell what they produce because the Western economies absorb around half of their production. That proportion is rapidly reducing.

THE INDIAN ECONOMY

How will this global contraction affect the Indian economy? It's hard to say because we are connected, and yet not connected to the world. *Neti*, *neti*. Not this, not this.

We import but not a lot except for energy. We export a fair bit but not enough to make a difference. We participate in the global financial markets but very gingerly. Our government borrows a lot but still not all that much. We have large welfare programmes but not all that large, either. We are, if I can recall what Ravi Shastri once said about another cricketer — a bits-and-pieces player. No one notices if we are there or not. Or minds.

Hard as it might be to believe, this is a great advantage. It's like being in a swimming pool by the seaside when a massive storm is raging; it increases your options for survival at a low cost because there are no great economic investments that have to be saved.

Political prospects are a different matter, however. They are still hostage, as they have been for several centuries, to the vagaries of nature: a drought, a flood, an El Niño, an earthquake, etc., can all make a huge difference to political stability. The pattern is very clear: each period of instability has been preceded by some huge natural disaster.

More on this next time.

India will not succumb to Musk's pressure tactics

Elon Musk's hectoring surely cannot override security considerations with respect to allowing foreign players in satcom

NS Vageesh

Elon Musk, the world's richest man, owner of Tesla, Space X and social media platform X, clearly didn't attend an etiquette class or failed it, if he did. In an egregious breach of decorum, Musk fired a nasty salvo this weekend at Mukesh Ambani, India's richest man, and his business rival in satellite communications services. Musk was venting his pique over what he thinks are delaying tactics to stall the commencement of his Starlink services in India.

Posting on 'X', Musk jibed, "Dear Prime Minister Ambani." And then added sarcastically, "Please accept my humble apologies for not realising you are the real boss of India..."

Musk hinted at the political donations given by the Reliance group to the ruling BJP party. He too hasn't been shy of using the power of the US government to protect his Tesla cars. Nor has he been coy in making donations to Trump's presidential campaign in 2024, reportedly touching around $280 million. That's been followed by substantial amounts for the Republican Party's funds over the past two years.

STORM IN A TEA CUP

Using public embarrassment as a blunt tool to hammer business rivals and intransigent governments into submission, is part of Musk's playbook. But neither Ambani nor PM Modi, who is also insulted by implication, is going to lose sleep or squirm with discomfort. Corporate donations for election campaigns are a fact of life and that is not even a storm in the tea cup anymore. Yes, Reliance does have outsized influence in the corridors of power in India. Just as Musk enjoys his unique rapport with Trump. The scales are even.

Nevertheless, clashes between tycoons throw up a range of issues and interests that need balancing and resolution. Insider and government supporter versus foreigner. Local titan versus global czar. National security considerations versus promoting global investment inflow. There are no easy answers for policymakers.

There are three parties who have got licences to set up satellite communication services — Ambani (Jio), Mittal (Eutelsat OneWeb) and Elon Musk's Starlink. The first two players are already major players in the domestic telecom broadband space. As the new space of satellite communication services opens up, each of these players is jostling to secure an early mover advantage.

SECURITY CONSIDERATIONS

Security considerations have gained considerable weightage now, following geopolitical developments over the past two years. The ongoing war in the Gulf region and Ukraine as well as India's recent experience with cross-border conflicts has sharpened the focus on



SOFTWARE UPGRADE. Can allow satellites to bypass security BLOOMBERG

India's strategic vulnerabilities. Given this backdrop, the country cannot easily take the risk of critical satellite telecom infrastructure and services being compromised.

A mere software upgrade can allow satellites to communicate directly, bypassing Starlink's Indian gateway — and Indian regulatory and security requirements. Or if a foreign owned company refuses to share critical data during a conflict or blocks it, that could also threaten sovereignty. We wouldn't want our critical phone calls being tapped and fed to hostile powers or cut off when an Operation Sindoor is on, would we?

Weighing against the benefits of introducing quick telecom infrastructure in difficult terrain like mountains, marine and rural regions, there are fears that threats could also arise from non-state actors/ criminals bypassing or overriding the regulatory and security oversight using overseas infrastructure. Experts say these technologies are unaffordable for the poor.

STOP PUSSYFOOTING

How should the government respond? It must be clear in its policy and swift in decisions and execution. If the government has reservations about security in allowing foreign companies to set up satellite services, and these are of course genuine concerns, then it must spell it out clearly — without letting speculation take over.

There's no need to be defensive or apologetic about national security concerns. The government must also be neutral and transparent — and seen to be so. The terms of engagement must be spelled out clearly without tweaking them endlessly as has often been the case with regard to inviting foreign direct investment in different sectors.

There will no doubt be some days, even weeks of negative publicity — irritation over the damage being created by the world's richest man with a list of grievances. The answer may not lie only in having more Vibrant investor summits and MoUs with foreign investors.

Sober policymaking, clear communication and steadfast execution can counter any propaganda or harangue, even from the person with the loudest megaphone or maximum riches.

The writer is a former journalist

OTHER VOICES.

THE WALL STREET JOURNAL. EUROPE

A Nobel Prize for hating Israel

It's possible that the Nobel Committee will someday bestow its peace prize on a less worthy recipient than Navanethem "Navi" Pillay, but we doubt it. The Oslo worthies this year have honoured an 85-year-old South African whose career has been marked above all by hatred for Israel and the Jews who support it. Ms. Pillay began her life's work as an attorney defending opponents of apartheid, but that cruelty was defeated two generations ago. The Nobel committee is honouring her career since then devoted to attacking the Jewish state and twisting international law to distort the meaning of "genocide" toward that end. (NEW YORK, OCTOBER 9)

GLOBAL TIMES

China-EU dialogue becomes more important

At a time when global challenges continue to emerge, the significance of China-EU relations has long extended beyond the bilateral sphere. By continuously deepening their economic ties and shared interests, China and the EU can not only unleash the innovative potential of their respective markets but also reinforce each other's development and contribute to global economic recovery. From Thursday to Friday, China and the EU held the second meeting of their bilateral trade and investment consultation mechanism in Beijing. The two sides engaged in pragmatic and productive discussions, reaching a 16-point consensus covering trade and investment balances, export controls, intellectual property rights and reform of the World Trade Organization. (BEIJING, OCTOBER 10)

BELOW THE LINE



Lost in translation

Donald Trump's push to rebrand 'AI' as 'SI' has a totally different meaning in India. When the US President signed an executive order directing federal agencies to drop the term 'Artificial Intelligence' and officially replace it with 'Super Intelligence' (SI), it left the global tech community wondering if the new acronym would stick. However, a top CEO of an Indian IT firm offered a swift, tongue-in-cheek reality check when asked if India would follow suit. "Indian IT has always been about SI," the executive quipped.

The clever retort, which drew plenty of chuckles, completely hijacked the narrative by referencing the industry's multi-decade identity as System Integrators (SIs). While Washington pushes the 'SI' branding to showcase next-gen tech power, India's powerhouse IT sector is already entirely comfortable with the abbreviation — just in a completely different, bread-and-butter business context. Whether Trump's rebranding effort catches on globally remains to be seen, but in India, the acronym is already taken.

Clean kitchens, markets

A senior SEBI official recently defended the regulator's Closing Auction Session (CAS) by drawing an unusual parallel to Tukaram Mundhe, the Maharashtra FDA chief famous for his ruthless restaurant hygiene crackdowns. The official pointed out that just as chefs throw tantrums when forced to clean their kitchens, market participants cry foul when regulators try to scrub the system clean. The blunt message: Regulators expect to face the heaviest backlash precisely when they are doing their jobs. While the comparison effectively reframes market reform as a necessary health inspection, whether it will actually satisfy SEBI's critics is another matter.

'Bhakti' for Gen Z

The last time Gen Z took to the streets in protest over education exam leaks and job security, Prime Minister Narendra Modi sought to reconnect with young Indians via Instagram reels and selfie videos. Now, with fresh demonstrations looming, the BJP has rolled out a new tactic: *bhajan* clubbing at its New Delhi headquarters. Held to mark the birth anniversary of Sangh ideologue Deendayal Upadhyaya, the event fused traditional devotional music with a high-energy club makeover. While opposition critics were quick to mock the spectacle, accusing the party of the "clubbing of democracy", the BJP is betting that wrapping *bhakti* in a foot-tapping, party-style beat will strike a chord with younger voters as the festive season ramps up. Whether a bass-boosted prayer can diffuse political friction or simply get trolled online is to be seen. The party is doubling down on turning sacred tradition into a youth-targeted trend.

Our Bureaus

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The real vibes of rural life

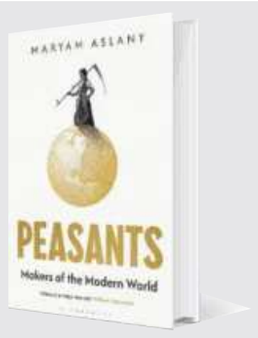
Giving due credit to those who produce commodities

BOOK REVIEW.

Gayathri G

A bar of chocolate, a packet of rice or a bag of sugar presents itself to consumers as a finished product, complete with a brand name and a price. Far less apparent is the individual whose labour made the product possible. That act of making the invisible visible sits at the heart of Maryam Aslany's *Peasants: Makers of the Modern World*.

The book advances a deceptively simple proposition: peasants did not disappear with industrialisation; rather, modern societies stopped noticing them. In an era when discussions of agriculture are dominated by drones, IoT, scale and efficiency, it is a timely and persuasive corrective.



Title: Peasants: Makers of the Modern World
Author: Maryam Aslany
Publisher: Bloomsbury Publishing
Price: ₹799

REALITY IS COMPLEX

The conventional story of farm modernisation suggests a steady march from small farms to mechanised production, with tractors, agri-businesses and global supply chains gradually replacing the peasant farmer. Aslany argues that the reality is far more complex. Peasants still account for roughly a quarter of humanity and continue to play a critical role in food production, commodity supply chains and the stewardship of ecosystems. They remain embedded in the very systems that define the modern economy.

Aslany builds her case through four commodities spread across three continents — sugarcane in India, rice in Cambodia, coca in Peru and cocoa in Ghana. These crops serve as entry points into the lives of the communities at the beginning of global supply chains, revealing how deeply inter-connected local livelihoods and global consumption have become.

Among the most compelling sections is the chapter on sugarcane in India. Traditionally known as a water-guzzler, the crop sits at the intersection of agriculture, politics, water management and industry. Sugarcane sustains not only sugar production, but also India's ethanol programme, food policies and rural employment networks.

Yet, behind this vast industrial ecosystem stands a farmer who bears the risks and costs of cultivation, contends with an input-intensive crop and often waits months for payment from mills. Sugarcane becomes an effective illustration of the book's central argument. The crop may feed into a highly organised industrial system, but the farmer remains vulnerable to forces largely beyond their control, from water availability and input costs to mill operations, pricing decisions and payment delays. The closer one looks at the sugar economy, the more difficult it becomes to sustain a neat distinction between the traditional farmer and the modern supply chain. They are inseparable parts of the same system.

For Indian readers, this may be the book's most significant contribution. Farmers are often discussed through the language of acreage, yields, procurement prices and government subsidies. Aslany asks a more vital question: what does it mean to remain economically indispensable while possessing relatively little power within the very system that depends on your labour?

Her broader argument is that the modern world's success in making food abundant and affordable has obscured many of its human costs. The people who produce the commodities on which global markets depend are often among the least powerful participants in those markets. As agriculture faces mounting pressures from climate change, environmental degradation and resource scarcity, that contradiction becomes difficult to ignore. The most provocative question *Peasants* asks is not whether peasants will survive, but what will happen to us if they cannot. Aslany invites readers to view the supermarket shelf from the other end — not through the act of consumption — but through the labour that makes consumption possible.

Haunting spectre of joblessness

India needs to act fast to prevent its demographic dividend from turning into a burden, warn the authors

BOOK REVIEW.

B Baskar

The abbreviation NEET does not always refer to the medical entrance exam that fills millions of youngsters in India with both hope and dread. NEET has another expansion — not in employment, education or training. The second expansion of this abbreviation is a recurring theme in Santosh Mehrotra and Jajati Parida's book, *India Out of Work: Rethinking India's Growth Story*.

The book's simple premise is: India is running out of time, and it has another decade-and-a-half to fulfil the potential of its youth. If India does not generate meaningful and productive manufacturing jobs in this time period, its youth bulge will turn into a burden. The authors say there is a very real danger of India turning old before becoming developed.

Hence, the country needs to grow at 8-9 per cent in the next few years, much higher than the 6.2 per cent growth in the last 10 years. The book is divided into three sections — the first talks about the 'structural' aspects of the economic crisis, the second is about the unemployment crisis, and the third about the crisis in education. Crucially the authors link the crisis in education with the spectre of unemployment.

THE PARADOX

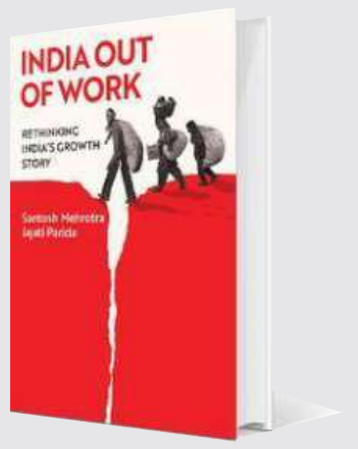
The irony, the authors point out, is that jobs started drying up just when the number of youth with higher education, especially women, started rising. The authors highlight some of the well-known structural infirmities of the Indian economy. One is the stubbornly high number of people working in agriculture despite its drastic fall in the GDP share. And, more worryingly, this share has been rising in recent years, at least since 2016-17. The authors also highlight the widespread informalisation of the Indian economy — both in its labour market as well as in its industrial structure.

Indian manufacturing has a small, highly capital-intensive segment surrounded by a vast informal segment, dominated by small units typically hiring less than 20 workers.

STRUCTURAL FAULTLINES

The authors assert that from 2004-2014 (coinciding with the UPA reign) the number of workers in the agricultural sector started declining for the first time, and these workers started moving into the manufacturing sector albeit largely in the informal segment, broadly synchronising with the Lewisian transition. But this positive trend, the authors point out, started reversing over a decade ago and they blame demonetisation and the botched up launch of the Goods and Services Tax (GST) for this reversal. The disruption caused by these two policy missteps led to more workers returning to the farm sector as a 'survival strategy'. This trend got accentuated during the Covid pandemic. Though some workers have started returning to the manufacturing sector since 2023, it is still in fits and starts.

The rise in self-employment, which is touted by the government as rising employment is, according to the authors, a disturbing trend as it is largely driven by unpaid family labour, which they say is a sign of economic distress. The authors reveal their pro-UPA leanings when they commend the UPA's targeted policies for inclusive growth, also aided by a favourable global economic environment. They also spend a considerable amount of time in debunking government economists' claims of jobs growth and poverty reduction, and criticism of demonetisation and GST comes up repeatedly in the book.



Title: India Out of Work: Rethinking India's Growth Story
Authors: Santosh Mehrotra and Jajati Parida
Publisher: Bloomsbury India
Price: 699

WOMEN AND WORK

The authors dedicate an entire chapter on women, and give a detailed analysis as to why their share in productive work is still stubbornly low. But the one positive factor here is that at least some part of the fall in female employment can be attributed to their rising enrolment in education. The authors call this "a silent revolution".

But women are largely employed in family-based enterprises, which is often low-skilled and without pay. They suggest that the government must focus on small and micro-enterprises to wean women away from family-based businesses. They are convinced that India cannot reach its economic potential without a significant rise in productive women's employment.

The informality of the economy — both in the labour and manufacturing — forms another important chapter in the book. The authors bring out the nuances of this issue, where there is a growing informalisation of work even in the formal manufacturing sector and, more crucially, the government sector. The onerous labour laws and legacy issues, such as the capital- and skills-intensive manufacturing sector, are also factors that have led to our economy being heavily skewed towards informalisation of work.

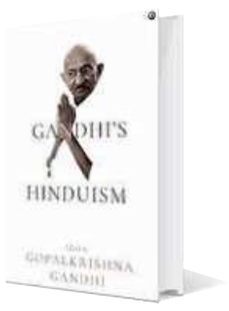
The meat of the book lies in the authors' examination of the education sector. They find a direct link between the crisis in education and the heavily informal nature of the labour market. Given the dissonance between the education imparted and the skills demanded by industry, the authors give some useful suggestions on vocational training. Though the government has taken some step in this direction, the authors argue for a greater push to vocation-based education.

POLICY ROADMAP

In the last chapter, the authors provide a policy roadmap to increase formal jobs to fulfil the demographic dividend, which includes a robust industrial policy aligned with a trade policy, tweaking of tax and credit policies, and a push for cluster development for MSMEs.

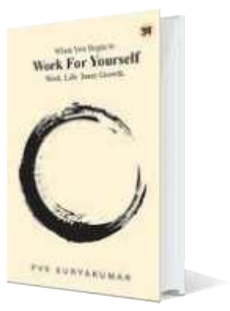
People tracking the Indian economy will be familiar with much of the issues dealt with in the book, but what sets this one apart is the authors' painstaking gathering of data and its analysis. The government would do well to heed to the authors' policy suggestions if we have to become a developed economy by 2047.

NEW READS.



Title: Gandhi's Hinduism
Author: Gopalkrishna Gandhi
Publisher: Aleph Book Company

Through Mahatma Gandhi's own words, the writer explores the religious convictions that lay at the heart of the Mahatma's life



Title: When You Begin To Work For Yourself: Work. Life. Inner Growth
Author: PVS Suryakumar
Publisher: Prabhat Prakashan

These short essays reveal how judgement quietly takes shape over time through experience, responsibility and presence



Title: Digital SuperMarketwala
Authors: Damodar Mall and Harsh Mall
Publisher: Penguin Business

The writers explore how digital commerce, neighbourhood stores, supermarkets, social media and AI are converging to reshape consumer behaviour

thehindu businessline.

TWENTY YEARS AGO TODAY.

October 12, 2006

Infosys Q2 net surges 52 per cent

Infosys Technologies Ltd beat street estimates to post 52 per cent rise in net profit for the second quarter ended September and forecast earnings for this fiscal in excess of $3 billion. Good all-round growth helped Infosys report net profit of Rs 930 crore on revenues of Rs 3,451 crore for the period.

MFs witness ₹23,542-cr outflows in Sept

Mutual funds saw net outflows of ₹23,542 crore in September, indicating redemption pressures, according to data released by the Association of Mutual Funds in India. Most of the fund outflows were in the liquid and money market categories.

Paperless environment poses audit challenges

The paperless environment, being ushered in the foreign trade-related government departments as part of the electronic data interchange system, has brought to the fore certain audit challenges, say exporters. The exporting community apprehends that many of the payments received by them from the Revenue Department under various export promotion schemes may run into trouble if the CAG were to raise audit queries after a long gap of time.

Short take

GST Council meet enhances business confidence

Saurabh Agarwal
Divya Bhushan

As India continues to strengthen its position as a global manufacturing and services hub, GST has become a key enabler of investment, economic growth and a tool to enhance India's global competitiveness. The proposals of the GST Council are reflective of this evolution, including a stronger focus on process reforms.

To that end, a notable feature of the proposed reforms is the emphasis on improving working capital efficiency, through the proposed changes to refunds under the inverted duty structure. While rate rationalisation has addressed inversion in several sectors, businesses operating in sectors where inversion persists continue to carry substantial unutilised credits. The exclusion of input services and capital goods from refund computations often results in significant amounts of working capital remaining trapped within the tax system.

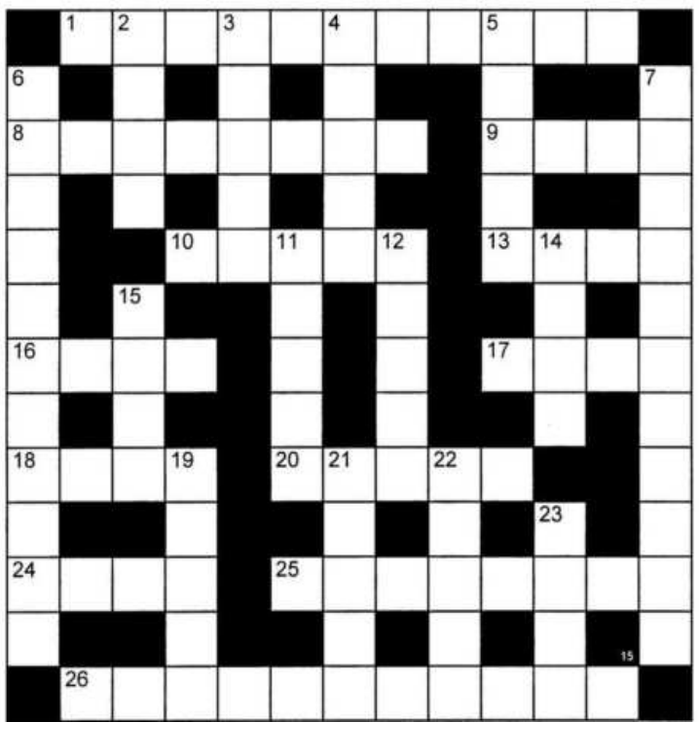
Proposing to extend refund eligibility to input services and gradually incorporating capital goods can substantially improve liquidity for businesses that continue to face genuine inversion. For sectors such as FMCG, textiles, pharmaceuticals, packaging and several other manufacturing industries, the impact could be meaningful. The reform has the potential to release productive capital back into the economy, allowing businesses to reinvest in expansion, technology and employment generation.

The proposed easing of input tax credit restrictions reflects a similar philosophy. GST was designed to operate as a tax on final consumption, rather than a tax on business inputs. Wherever legitimate business expenditure results in blocked credits, taxes tend to become embedded within costs, weakening competitiveness and impacting commercial decisions.

Rationalising restrictions relating to input tax credits on motor vehicles, leasing, repairs, insurance, catering and telecommunications infrastructure will, therefore, move the framework closer to the foundational design principles of GST. From an export competitiveness perspective, the proposed changes assume even greater significance. India's services exports now extend beyond traditional IT and business process outsourcing into high-value engineering, testing, repair, processing and specialised technical services. However, certain place-of-supply provisions have prevented genuine cross-border transactions from qualifying as exports despite services being provided to overseas customers. Aligning the treatment of such transactions with broader export principles will improve tax neutrality and strengthen India as a global services delivery destination.

The writers are Tax Partners, EY India; Hitika Munjal, tax professional, EY India, also contributed to the article

BL TWO-WAY CROSSWORD 2754



EASY

ACROSS
1. Builder (11)
8. Aircraft velocity (3-5)
9. Curly-leaf cabbage (4)
10. Fidelity (5)
13. Close by (4)
16. Let fall (4)
17. Scraped cotton, linen as dressing (4)
18. Timber or stone at foot of opening (4)
20. Declined, flowed out (5)
24. Not difficult (4)
25. Curve, a conic section (8)
26. Goods bought and sold for profit (11)

DOWN
2. Belonging to you and me (4)
3. Delightful, very good (5)
4. Water-grasses (5)
5. Voucher (5)
6. Seller of tapes, ribbons etc (11)
7. The T of TA (11)
11. Excessive, inappropriate (5)
12. Pulsate (5)
14. Wicked (4)
15. An objective (4)
19. Stratum (5)
21. A Spanish Costa (5)
22. A S African antelope (5)
23. Indian distance measure (4)

NOT SO EASY

ACROSS
1. He builds on trust – croc can destroy him (11)
8. It's how fast aircraft goes that is spread about (3-5)
9. In midweek, a lettuce could serve as cabbage (4)
10. One can have confidence in a sort of unit investment (5)
13. It isn't far off being close-fisted (4)
16. Let it go for a drink of the hard stuff (4)
17. Dressing some doll in trousers (4)
18. The wall isn't holding back the window-ledge (4)
20. Be back on one's cot as the tide went out (5)
24. It may be simple to give a yes to it (4)
25. Sort of curve airborne soldier takes with a throwback (8)
26. Mind her case in order to produce the goods (11)

DOWN
2. American, or a version of it that's not theirs (4)
3. It's excellent, the use PR is put to (5)
4. Are Feds headed off by their mouthpieces? (5)
5. It is given as an indication that it's all right in number (5)
6. Her bread has changed, being supplied by seller of sewing things (11)
7. Part-time soldier has the dog full out (11)
11. The peacekeepers are expected not to be warranted (5)
12. Broth made by pulse perhaps (5)
14. Wickedness is shown as it happens, topsy-turvy (4)
15. One's aim may be to get out of gaol (4)
19. An early sort of bird (5)
21. Around five, Arab might say 'Well done' to a woman (5)
22. Daniel didn't get one kind of elk-like animal (5)
23. A little tobacco's sure of going a long way in India (4)

SOLUTION: BL TWO-WAY CROSSWORD 2753

ACROSS 1. Recorder 4. Pets 8. Toe 9. Delta 10. But 11. Ortolan 12. Error 13. Provocation 17. Piper 18. Blooded 20. Ana 21. Naked 22. Lie 23. Noes 24. Prestige

DOWN 1. Ration 2. Chest 3. Ellen 5. Embargo 6. Saturn 7. Parenthood 9. Delivering 14. Replace 15. Sprain 16. Adhere 18. Baker 19. Delhi

CHENNAI
businessline.
MONDAY - OCTOBER 12 - 2026

NEWS SNIPPETS.

The virtues of co-locating solar, battery energy storage

Co-locating solar power plants with battery energy storage systems (BESS) can improve the economics and reliability of firm renewable power, but the project design must balance cost, supply reliability and renewable energy curtailment, according to a new study by the Center for Study of Science, Technology and Policy (CSTEP).

The study, titled 'Co-locating solar and battery storage for reliable power supply', examines how solar and battery capacities should be sized to meet defined power delivery obligations, using a Karnataka case study of a continuous 100-MW power block over durations ranging from two hours to 24 hours.

It finds that the optimal combination depends not just on the duration but also the time of power delivery.

Obligations extending into non-solar hours require more storage and can raise costs. Across the modelled optimal configurations, the levelised cost of energy ranged from ₹5.73 to ₹6.79 per kWh.

For a round-the-clock supply obligation, the model's preferred configuration comprised 515 MW of solar capacity and 1,300 MWh of battery storage.

It covered 76.4 per cent of annual demand at ₹5.73 per kWh. Raising demand coverage to 85.8 per cent would require 768 MW of solar and 3,120 MWh of storage, increasing the cost to ₹8.32 per kWh.

CSTEP recommends that renewable-plus-storage tenders explicitly consider curtailment alongside cost and demand fulfilment.

It also calls for geographic information system-based site selection and delivery schedules designed around actual power system requirements, rather than standardised supply windows.

The study cautions that grid import and export constraints, dependence on imported battery cells and uncertainty over long-term revenue streams remain barriers.

It also notes that its analysis did not account for battery degradation over the project lifetime.

The central message is that simply adding batteries to solar projects will not guarantee economical, reliable power. Procurement must be designed around factors such as the time of electricity supply and how efficiently the combined system can deliver it.

Minister Pralhad Joshi leaves RoW resolution to states

New and Renewable Energy Minister Pralhad Joshi has left the 'right of way' issues plaguing the wind industry to the State governments, saying the ball is in the states' courts, because "land is a State subject".



Answering a question at a press conference in Chennai, on the sidelines of the Windergy 2026 event recently, Joshi called upon State governments to solve the RoW issues — after all, it is in their interest to get cheap clean energy, something that will help industries to export.

In this context, Joshi referred to the Green Energy Corridor-III scheme, announced recently with an outlay of ₹1.86 lakh crore, including a central government assistance of ₹55,000 crore, for which the State governments would have to compete ("challenge mode"). He said land availability would be an important factor in such a competition.

Wind installations in India are growing. After a poor record in the first quarter of the current year (1.35 GW), projects picked up to reach 3.1 GW in the first six months, raising hopes for annual installations of around 7 GW.

Yet, the big factor hampering smooth implementation of wind projects is the RoW issue, with most projects suffering delays from filibustering protests in the name of extracting fair compensation for the landowners from the developers.

Recently, the Ministry of Power came out with tweaked guidelines for paying compensation, but industry fears that protests may continue regardless.

◉ SOLARISED FARMS

AgriPV: Up above the ground so high

PHOTO-SYNERGY. Integrating agrivoltaic into the PM-KUSUM 2.0 scheme is one way to add solar capacity without eating up farmland

M Ramesh





GREEN FOR GREEN. Agrivoltaic installation at the solar-agriculture farm at Dayalbagh Educational Institute, near Agra; (right) the experimental farm of BAIF Development Research Foundation, near Pune M RAMESH

The government is expected to announce an incentive scheme at the upcoming seventh AgriVoltaics World Conference in Delhi on October 21–23. It has already said that PM-KUSUM 2.0 — the proposed second phase of the agriculture solarisation programme — will have a dedicated AgriPV, or agrivoltaics, component.

AgriPV is still at the demonstration and experimentation stage in India. There are more than a dozen pilots, using markedly different configurations, crops and business arrangements. SunSeed, GroSolar, Khare Energy, Jain Irrigation and Sahyadri Farms are among the organisations experimenting with the technology. TERI's recent assessment of the country's AgriPV potential lists SunSeed's 1.4-MW Parbhani installation and Nashik project, and GroSolar and Jain Irrigation pilots, among other projects.

The basic idea is deceptively simple: produce food and electricity on the same piece of land.

The difficulty is in ensuring one doesn't compromise the other.

An emerging trend is to install solar panels 18-20 ft above ground on pillars. The elevation combined with appropriate module technology, row spacing and panel architecture can give crops more usable light while allowing tractors and other farm machinery to operate below the array. It also makes it possible to grow taller crops and perennial crops such as vines and fruit trees. In a conventional solar plant the crops are typically squeezed into the spaces between the arrays of panels.

A recent visit to the solar-agriculture farm of the Dayalbagh Educational Institute, near Agra, facilitated by the Earth Journalism Network, offered a glimpse into the working of elevated AgriPV.

Commissioned in 2020, the 200-kW installation on about 1.3 acres was supported partly by a government grant of about ₹3.2 crore. At the time, it cost about ₹65 a Wp — roughly 30 per cent higher than a conventional solar installation.

The panels are mounted on pillars about 18 ft above the ground, leaving a large agricultural working space underneath. The project uses single-column structures and tracking, and the crops grown include wheat, spinach, cauliflower, carrot, tomato, brinjal and pulses.

Half of the solar capacity is linked to a battery energy storage system. The other half supplies the institute and nearby facilities through a microgrid.

The institute recently added an EV charging station, which can hook up 20 cars at a time, according to Prof D Bhagwan Das, the head of the project. The electricity is supplied at a subsidised ₹7 a kWh.

The system generates around 4 kWh per kW per day, according to Das, leaving the institute self-sufficient in meeting its electricity needs. The farm's produce is sold in neighbouring villages at "highly subsidised prices".

Das says the institute is willing to transfer the know-how free of cost. Officials at the institute also say that more than 100 farmers have adopted its AgriPV technology.

VIABILITY

The next stage of the AgriPV journey, therefore, is not so much about proving that solar panels and crops can coexist but figuring out how the combination can pay well. Nimish Prabhukhanolkar, CTO of SunSeed, sees the emergence of elevated AgriPV as significant.

"It is good to see — in recent years — 100 per cent land use of solar and 100 per cent land use for farming via elevated infrastructure," Prabhukhanolkar says.

SunSeed has a 1.4-MW elevated AgriPV installation at Parbhani for horticultural crops and a 250-kW one at Sahyadri FPO, Nashik, for table grapes.

Prabhukhanolkar makes the interesting observation that technology is no longer the only missing piece. Who owns the solar plant? How should the contract be worked to benefit both farmer and solar developer? What role should technology companies play? Will there be a new class of AgriPV independent power producers and developers? And would a specialised horticulture company invest in AgriPV infrastructure rather than conventional agricultural infrastructure?

These questions, he says, need to be resolved over the next three to five years.

There is also a crop selection issue. High-carbohydrate crops such as grains and pulses are less attractive under partial shade, Prabhukhanolkar says. Flowers, berries and some fruit orchards appear to be better matches.

THE PARAMETERS

The Renkube AgriPV pilot at Professor Jayashankar Telangana State Agricultural University, in Hyderabad, provides useful numbers.

TERI monitored the 10.8-kWp installation over two years. The system uses semi-transparent PV panels installed about 10.5 ft above ground, with about 10 ft spacing between rows. Fifteen crop varieties were tested across the rabi, zaid and kharif seasons.

The results are encouraging. Average crop yield was 97.8 per cent of open field yield. In summer, it was actually better at 100.6 per cent, including spinach at 104.2 per cent and amaranthus at 101.9 per cent. The report attributes this partly to reduced heat stress under the panels.

The economics are even more striking. For a modelled 2.5-hectare farm, TERI estimates annual income of about ₹9.31 lakh from conventional agriculture, compared with ₹54.62 lakh under a standard AgriPV configuration and ₹75.62 lakh, or 8.12 times more, under the Renkube configuration.

But this is just a techno-economic projection; TERI explicitly says the Renkube technology is not yet commercially available and the assumptions require validation through pilots.

The report nevertheless makes an interesting comparison. Its model assumes that Renkube AgriPV would require 26.5 per cent more investment per MW than conventional ground-mounted solar, but could produce 36.6 per cent more annual electricity, helped by elevated bifacial panels and reduced soiling losses.

And TERI's conclusion is quite specific: an agriculture-first design should use elevated structures at least 3 m above ground, 2.5–3 m row spacing and appropriate crop selection.

MULTIPLE DESIGNS

The most important lesson, perhaps, emerging from the Indian experiments is the availability of many forms of AgriPV. A visit to the experimental farm of the BAIF Development Research Foundation, near Pune, demonstrated this well. The configurations include vertical, tilted, close to the ground, and elevated AgriPV.

A vineyard will require a different structure compared with a vegetable farm. A semi-arid farm will have different requirements compared with a humid tropical one.

Horses for courses.

This is also why the temptation to judge AgriPV by its higher cost per MW misses the point. The relevant comparison is between the value generated by the same piece of land under agriculture alone, solar alone, and agriculture-plus-solar.

And it goes beyond just electricity and crop revenue. Shade can reduce heat stress. Solar structures can alter water requirements. Drip irrigation, rainwater harvesting, storage and even EV charging can become part of an integrated farm-energy system. The business model is the real frontier.

The government's likely move to bring AgriPV into PM-KUSUM 2.0 could, therefore, be significant. AgriPV can work. Indeed, it may become inevitable as India tries to add solar capacity without eating up productive agricultural land.

And perhaps that is where the panels belong — up above the ground so high.

◉ INTRA-STATE TRANSMISSION

Green Energy Corridor-III: The ball is now in states' court

M Ramesh



ISTOCK

On September 30, the government announced the ₹1.86-lakh-crore Green Energy Corridor-III project, chipping in with ₹55,000 crore and leaving the rest to be brought in or raised by State governments.

GEC-III differs from the previous iterations in scope and geographical coverage. The first two were meant to evacuate 24 GW and 20 GW, respectively, at an outlay of ₹10,142 crore and ₹12,031 crore, whereas GEC-III has a much bigger outlay and is for 135 GW.

However, there are two other fundamental differences. First, GEC-III is essentially meant for strengthening intra-State transmission; the previous two were for inter-State — eight and seven renewable energy-rich states, respectively. GEC-III is pan-India.

Secondly, GEC-III — in a first for any green corridor scheme — brings in battery storage in a big way. The central government proposes to give ₹6,000 crore as incentive for battery storage. New and Renewable Energy Minister Pralhad Joshi said during a press conference at the Windergy 2026 event in Chennai recently that this was "the biggest support which has been given to the renewable energy sector in the entire world", adding that he was saying this with a lot of responsibility.

GEC-III is part of efforts to strengthen the grid to handle steadily increasing amounts of variable renewable energy. The most striking feature of this scheme is that it puts the ball in the states' court.

COMPETING FOR AID

States will get central assistance on a "challenge mode", which means they would have to compete for it. Besides, the implementation is left to the states.

SR Narasimhan, former CMD of Grid Controller of India Ltd, observed that the central grant could accelerate implementation in states that already have clear plans to evacuate renewable power.

"The risk is that states without a well-developed intra-State transmission strategy may begin planning projects simply because funding support is available," Narasimhan told *businessline*.

He pointed to a disconnect between the planning for the inter-State transmission system (ISTS) and the intra-State transmission system (InSTS). Consolidated information on InSTS plans, he said, does not reach the National Committee on Transmission, which approves ISTS investments. This makes coordination difficult, even though evacuation of renewable energy requires them to work in tandem. Narasimhan — who has long been a campaigner for storage, arguing for battery energy storage system (BESS) as an alternative to transmission (the 'non-wires alternative') — is happy that BESS is now given importance.

The battery system, he said, could be developed as a transmission asset through tariff-based competitive bidding (TBCB). Even based on conservative assumptions about revenue from electricity-price arbitrage, the tariff could be lower than that of transmission lines. The batteries would also provide 6 GW of support during non-solar hours and contribute to frequency and voltage control.

The proposal highlights a broader question for GEC-III: should transmission planning be confined to building lines, or should it compare wires with storage and other alternatives on a project-by-project basis?

With much of the funding responsibility resting on states, the immediate challenge is to ensure that GEC-III finances transmission infrastructure that is genuinely needed, properly coordinated with inter-State plans and economically justified. The Centre may provide the grant, but the quality of State-level planning — and the willingness to consider alternatives to conventional transmission — will determine how much renewable energy the corridor can ultimately accommodate.

ALMM List-II triggers 98% plunge in Chinese cell exports to India

Policy mandates, local capacity reshape India–China photovoltaic trade as a massive solar decoupling gets underway

K Bharat Kumar

It's not often that we see China's trade figures impacted due to policy decisions in India. The photovoltaic (PV) industry was witness to one such development recently.

China's overall export of PV modules plunged by half this August to 15.26 GW, from 30.82 GW a year ago. The January-August cumulative numbers too declined 12 per cent.

In August 2025, India alone imported 2.68 GW from China amid a shipping rush ahead of the implementation of the second Approved List of Models and Manufacturers (ALMM List-II), according to data from Taiwanese renewables research firm Infolink Consulting.

In August this year, India's imports from China plummeted to just 0.07 GW, accounting for around 17 per cent of the year-on-year decline in China's export volume that month.

The cells component in the solar equipment ecosystem, too, saw diminishing imports by India. Only about 0.04 GW of solar cells came from China in August, down more than 98 per cent from 2.56 GW in April.

India has been attempting to reduce its dependence on China. Downstream are the solar modules (the panels you see in fields or on rooftops, converting light into electricity).

CHAIN OF NEEDS

Before the modules come the cells in the supply chain. Ahead of the cells are the ingots and wafers; the raw material for those is polysilicon. At the head of the chain sits silicon. For now, India's policy pivots have helped raise production capacity for modules and cells, and are hence impacting import numbers.

At the same time, it is important to note that there is no avoiding China in the other parts of the supply chain that go into the making of cells and modules.



SELF-RELIANCE. India has 217 GW of solar module capacity REUTERS

ALMM rules — first for solar modules, and then cells — were meant to gradually lower the dependence on imports while building domestic capacity.

SECURING CELL SUPPLY

The ALMM List-II, which took effect on June 1 this year, seems to have achieved just that. However, even at the stage of cell manufacturing, there is potential for bottlenecks to become quickly visible in the supply chain in India.

Infolink's note highlights the fact that the ninth revision of List-II helped bring listed domestic cell capacity to about 39.4 GW, compared with 217 GW of module capacity under List-I. Large-scale domestic projects will feel the pinch — namely lack of adequate cell capacity to feed module makers. It would be interesting to await developments in December on the price front.

Chinese cell suppliers had moved away from India towards Southeast Asian assembly locations such as Indonesia, The Philippines and Laos, to take advantage of the pre-December 4 front-loading window ahead of the US Section 232 Minimum Import Price regulations. This could lead to high inventory build-up in the later part of this year and spur a sharp global pricing correction cycle shortly thereafter.

OFFICE BUZZ.

People happiness project

TVS Industrial & Logistics Parks is investing in employee wellbeing through a People Happiness Programme (PHP), a structured year-round initiative.



The programme brings together four pillars of wellbeing — physical, psychological, social and financial happiness — supported by a leadership-led framework built around four principles: communication, clarity, consistency and care. From health camps to yoga sessions, counselling sessions, festival celebrations and financial management tips, the programme packs a wide range of interests.

Says Aditi Kumar, Joint Managing Director, "At TVS ILP, we have always believed that culture is not built through policies alone, it is shaped by the everyday experiences of our people. The People Happiness Programme is not a one-time initiative but an ongoing commitment to listening, learning and building a workplace that puts people first."

Working across generations

Generational differences in working patterns could have implications for talent development in financial services, finds a new report from the Association of Chartered Certified Accountants that examines key workplace issues in the global banking and financial services sector. Over 900 finance professionals representing the banking and financial services sector worldwide took part in ACCA's global talent trends 2026 survey on issues ranging from career ambitions, AI concerns, sustainability, social impact, inter-generational collaboration and working patterns.



Over half of the youngest cohort of respondents, namely Gen Z (52 per cent), reported working full time in the office, compared with only 33 per cent of Gen X, and 14 per cent of baby boomers.

The mismatch has implications for effective cross-generational collaboration at work, notes the report. Other key findings from the survey data include compensation concerns, with 54 per cent of respondents saying they were dissatisfied with current wages as their cost of living was spiralling. Fears of AI replacing jobs also remain high. Over 57 per cent said their mental health suffers due to work pressures.

CHOPPING BLOCK

Putting food safety on your plate

TURNING UP THE HEAT. Inside the intensive regulatory crackdown that is reshaping India's food and beverage sector

Meenakshi Verma Ambwani



TESTING TIMES. Large dairy players believe the regulatory action is strengthening the shift to branded products V RAJU

Gone are the days when food safety meant a routine compliance check by a company's quality manager. Today it is a high-stakes boardroom topic inside India's F&B companies — a priority driven by zealous regulators on one side and social media crusaders on the other.

The ongoing nationwide crackdown by the Food Safety and Standards Authority of India (FSSAI) and State food and drug administrations is forcing packaged food brands, tech platforms, and hospitality giants to overhaul their compliance frameworks and, in some cases, redo their labelling. With hyper-vigilant consumers calling out brands and retailers on social media and tagging enforcement agencies, the fear of an inspection raid is real.

Equally, there is a legal pushback as companies question interpretations, leading to a build-up of food regulation-related litigation.

The panic — and the pivot — is visible across the supply chain. Ashwin Bhadri, founder and CEO, Equinox Labs, says the firm has seen a near 200 per cent rise in orders for R&D sample testing in the past two months, including checks on product shelf-life, nutritional profile and other quality parameters. The company is also inundated with requests for second-party audits for dark stores and dark kitchens.

Food safety is moving from the backroom to the boardroom, says Bhadri, pointing out, "Larger established players are getting more conscious about their compliance and safety frameworks than they were in the past, and asking us to conduct internal audits for them."

The anxiety is even more acute for India's booming direct-to-consumer (D2C) ecosystem. "Many D2C brands and smaller players are coming to us to help them adhere to quality and safety parameters," Bhadri says. "They understand that even a single food safety issue or complaint can erode their brand equity overnight. We have begun creating annual operating plans for our clients to enable them to follow safety and quality standards as they raise funds to scale up fast, add more vendors, warehouses and distribution channels. I am getting calls from such companies every other week for guidance on these issues."

The hospitality sector is feeling the heat too. Hotels and restaurants are stepping up staff training. Pradeep Shetty, Vice President, Federation of Hotel & Restaurant Associations of India, and Honorary Secretary, Hotel And Restaurant Association (Western India), says, "We have consistently contributed practical recommendations to help shape regulations that uphold high standards of food safety while remaining workable for hospitality establishments. Through FoSTaC (food safety training and certification) programmes conducted in partnership with FSSAI, HRAWI has since 2017 trained and certified 4,108 food handlers across hotels and restaurants in the five states within our region."

The efforts have been doubled in view of the recent enforcement actions, he says. "Additionally, we are advising members to conduct weekly internal audits to identify and address compliance gaps."

One immediate effect of the regulatory scrutiny is the reallocation of corporate budgets towards food safety frameworks. With FSSAI quick to respond to netizens' complaints on social media, directing them to its Food Safety Connect app, companies are already facing the consequences. Last Thursday, for instance, the FSSAI suspended the licence of Shreyash Retail, following a deluge of 130 consumer complaints, 70 of which alleged the sale of rotten or expired food.

FORCING SHIFTS

Meanwhile, the intense scrutiny is proving a major catalyst for India's organised branded food players. Many big companies that were compliant on safety are observing that they are finally getting a level-playing field as the regulatory spotlight is actively wiping out counterfeit and unorganised segments, particularly in the dairy sector.

Several states have decided to ban the manufacture and sale of analogue *paneer*. The FSSAI is also working on amendments in regulations to restrict the manufacture and sale of analogue products nationwide. Leading dairy players say this is strengthening the shift towards branded *paneer* products not just in B2C but also B2B channels. Demand for branded *paneer* has shot up and players such as Mother Dairy are witnessing 60-70 per cent increase year-on-year this quarter.

Tech platforms, too, are joining the clean-up act.

In August, Zomato announced a zero-tolerance policy towards the sale of analogue dairy dishes by the restaurants listed on its platform, reserving the right to remove any listing found in violation. It asked restaurant partners to take immediate corrective actions, including transition to natural dairy products, and ensure accurate representation in the product labels and ingredient declarations provided by suppliers.

Rival Swiggy, meanwhile, launched a dedicated 24×7 helpline for customers to report any food safety-related concerns. It also introduced a 'Food Safety' channel within its in-app help section.

RAIDS AND ARRESTS

Overall, there has been a significant increase in enforcement action across the food ecosystem countrywide. From April 1 to August 31, food safety enforcement agencies conducted 7.05 lakh inspections and 13,203 raids while issuing 8,151 notices to food business operators. This led to the suspension of 677 food licences and 105 food registrations, alongside the seizure of 35.48 lakh kg and 86,921 litres of food products at a reported value of ₹42.01 crore.

FSSAI officials recently told *businessline* that more than 100 companies that were pulled up for misleading claims or non-compliant labels have changed their labels. More than 600 people have been arrested or prosecuted in the past few months for violations.

"There is much more awareness among consumers about safety and they are demanding stringent actions. State FDAs have recruited more food safety officers through public service commissions, which have also been asked to expedite the process," an official says.

On the other hand, companies are fighting back. From alcobev to energy drinks and food products, a slew of manufacturers and sellers are seeking legal recourse over some of the enforcement actions.

"Earlier we used to file two to three petitions a year related to the food safety Act. We have filed as many as 23 petitions in the past three months. So there has been a rise in litigation with some of the larger players taking legal recourse as there are disagreements over how the food safety regulator is interpreting some of the existing regulations. In some recent cases, companies have got a stay on regulatory orders," says a lawyer specialising in food safety regulation cases, who declined to be identified.

But is this enough? Says Ankur Bisen, Senior Partner, The Knowledge Company, "The enforcement actions have created higher awareness in the packaged food and beverage value chains. Companies are no longer taking a perfunctory approach to brand risks arising from food safety issues."

He points out, "From sales teams to operations teams to boardrooms, the conversations regarding food safety and compliances have taken centre stage. But a lot more needs to be done to bring a larger shift towards improved benchmarks for food quality and safety, as there are many moving pieces."

GOING GREEN

Scale-up struggles of sustainable startups

Chitra Narayanan

India's green economy could attract almost $4.1 trillion (₹360 lakh crore) in investments and potentially unlock 48 million jobs by 2047, says a study by the Council on Energy, Environment and Water (CEEW). It identifies 36 green value chains across energy transition, circular economy, and bio-based solutions.

Unlocking this massive economic potential, however, calls for a fundamental shift in daily transaction behaviour. Despite the growing buzz around sustainability, most green ventures face an uphill battle in convincing price-sensitive consumers to make the switch.

Demand is a challenge, agrees Ajay Menon, Senior Practice Lead at TechnoServe India and Programme Director of the Greenr Sustainability Accelerator, which supports 350 green startups in India across three cohorts, and is backed by partners like Ikea Foundation and Visa Foundation. "All of us are doing our bit, but we're not doing it at a level where you have mass consumption for greener products. And I think that is also where the government can play a huge role," he says.

If a green product functionally matches the conventional alternative, then a customer will look at the price and convenience, says Menon, giving the example of green bricks versus red clay bricks, AAC bricks, and flyash bricks. The huge cost difference favours red bricks. But the minute there is a policy mandating a minimum percentage of green material for all construction projects, the sector will explode, says Menon. Without policy mandates, green construction companies are forced to find unique alternative distribution channels to grow, he explains.

POLICY PUSH

But the good news is that policies are on the way, he says. An example is the Extended Producer Responsibility (EPR) policy, which makes manufacturers, importers, and brand owners legally and financially responsible for the entire lifecycle of their products, especially at the post-consumer end-of-life stage.



BIGGER, CLEANER. Ajay Menon, Senior Practice Lead at TechnoServe India and Programme Director of the Greenr Sustainability Accelerator

"Other policies like that are steadily coming into place," says Menon, "where large conglomerates will have to look at their procurement and supply chain for decarbonisation of manufacturing. They will have to better integrate green solutions into the supply chain."

And that's where the exciting opportunity lies for many of the startups in the Greenr Accelerator programme to grow their businesses, he says. "As large conglomerates move towards a net-zero state in the next 10 years, we believe scale can come for our startups," he explains.

He says the reason for setting up a large-scale accelerator programme was not only the exciting opportunities projected by CEEW in the green economy but also the need for a systemic change in the space.

"We need consortia of funds coming in, where you have multiple donors," he explains.

Are there enough green startups applying for the accelerator programme, which provides funding and finance access and business advisory services? "When we launched the programme in January 2023, we had about 390 applications. In the second cohort, we had about 590 companies applying," says Menon.

The top sectors across the three cohorts of the programme are waste management, food and agriculture, and cleantech and renewable energy, he says.

Ninety per cent of the founders in the programme are first-time entrepreneurs. "Therefore we need a lot of intense capacity building, right from understanding the financials to putting together robust go-to-market plans, understanding how to position their businesses to B2B or B2C customers, and identifying what the target market looks like," explains Menon.



Rajat Vardhan, co-founder and CEO of ScaNxt, an agritech and climate-smart startup incubated at IIT-Kanpur



ScaNxt's pest detection station

Greenr helps founders identify both tactical acceleration and strategic levers to grow their business, he says. While the strategic levers will help grow the top line of the business, the tactical levers will improve its unit economics.

HURDLES AND SOLUTIONS

What are the common challenges green startups face? "They struggle to attract the right talent and fairly priced financing," says Menon. "And of course, a lot of the policies currently favour linear and not circular economic models," he adds.

While Menon gives the big picture, a startup in the Greenr cohort explains the on-the-ground scenario. Rajat Vardhan, co-founder and CEO of ScaNxt, an agritech and climate-smart startup incubated at IIT-Kanpur, says it is very important for any green deep-tech entrepreneur to have a well-balanced team in place.

"Most of my tech team is from IIT-Kanpur and Indian Institute of Remote Sensing," he says.

ScaNxt works on reversing land degradation. Vardhan says that after five and a half years of intensive research at IIT-Kanpur, the company developed a smart soil monitoring technology, which has been deployed and scaled up to 24 states.

"We operate in 200-plus districts, and have exported to seven countries," he says. "We got another patent for a pest monitoring technology, which captures data on harmful pests and informs farmers. Almost 40 per cent of a farmer's yield is lost due to pest attacks."

ScaNxt also has a solar dryer, which helps fetch a better market price for farm produce because the drying increases its shelf life by six to eight months.

"In order to grow a company which is deep-tech, we need a lot of support to ensure that the fundamental research-based solutions get scaled up," says Vardhan, on why ScaNxt applied for the Greenr programme.

He agrees with Menon that government policy modifications will go a long way in helping green startups scale up.

"The government is one of the biggest purchasers in the country, so policy modifications that allow startups to take part beyond L1 (lowest bidder), L2 (second lowest bidder) will immensely help," he says.

"When we reach a scale, the probability is very high that the cost of the product will be optimised," he adds.

Finally, Vardhan says that the support of government funds like the Anusandhan National Research Foundation (ANRF) and the Research, Development and Innovation (RDI) Scheme can prove to be a change maker in the country.

"The ₹1 lakh crore fund like RDI can really play a huge role in bringing a lot of green technology to a global scale," he concludes.

GOAL SETTING

Why best practices often don't fly



ISTOCK

TT Srinath

Why does so little learning happen in organisations and schools, even when they are exposed to best practices, excellent examples and inspiring success stories?

Perhaps the answer lies in what sociologist Samuel Stouffer described as "relative deprivation" — the idea that we do not judge ourselves in absolute terms. We judge ourselves in relation to people or situations we can identify with.

Consider a budding entrepreneur. He is largely unaffected by the enormous wealth of the owner of a large organisation. He does not see himself in that league; therefore, there is little basis for comparison.

But place him alongside the owner of a small organisation operating in similar circumstances and he may become much more conscious of what the other person has achieved — and what he has not.

The same principle operates in organisations.

A tyre manufacturer may see how an FMCG giant has transformed its supply chain, culture, or customer experience. The example may be excellent. Yet the response could easily be: "That works for them. Our reality is different."

The learning does not necessarily fail because the practice is wrong. It may fail because the learner cannot see themself in the example.

Malcolm Gladwell, referring to Stouffer's work, writes that "we form our impressions not globally, by placing ourselves in the broadest possible context, but locally — by comparing ourselves to people (who we think are) in the same boat as ourselves."

This has an important implication for education and organisational development.

When we teach through cases, examples or "best practices", we often reach instinctively for the most celebrated examples — the largest company, the most successful entrepreneur, the most impressive institution. But the greater the distance between the learner and the example, the easier it is to dismiss the learning:

"They can do it because they are different."

Perhaps, therefore, the most powerful teaching example is not always the best example. It may be the most relatable one.

A small family business may learn more from another family business that is only a few steps ahead, than from a global corporation. A young entrepreneur may connect more deeply with someone who faced similar constraints than with a billionaire whose circumstances are unimaginable to him.

This does not mean that distant or extraordinary examples have no value. They can inspire and expand our sense of possibility. But when our objective is learning, application and behavioural change, context matters enormously.

The lesson for educators, consultants and organisational leaders is simple: Don't merely ask "What is the best practice?" Ask "What is the best practice that this person or organisation can see itself doing?"

Learning begins when people can recognise themselves in the story.

Perhaps that is the real meaning of the 'Big-fish-little-pond effect': our sense of capability, possibility and self-worth is shaped not simply by how good the example is, but also how close we perceive it to be to our own pond.

The writer is a visiting professor at the Great Lakes Institute of Management, Chennai, and an organisational and behavioural consultant

CHENNAI
businessline.
MONDAY - OCTOBER 12 - 2026

FUND FACTS.

$182 million

Simpleenergy Private Limited received Series C funding from Amit Mishra, Haran family office, Arokiaswamy Velumani, Suhas Rajkumar, and Ankit Gupta on September 30, taking the total funding to $329 million.

$70 million

Linux Laboratories Private Limited received funding from ChrysCapital Investment Advisors India on September 30, taking the total funding to $77 million.

$63 million

Thriveni Earthmovers And Infra Private Limited received funding from Lloyds Metals And Energy Limited through a rights issue on September 28, taking the total funding to $541 million.

$44 million

TVS Automobile Solutions Private Limited received Series D funding from CE-Invests (Crescent Enterprises Invests) on October 5, taking the total funding to $146 million.

$34 million

Firki Wholesale Private Limited received Series C funding from Anicut Capital, Axiom Asia Private Capital, and Xponentia Capital Partners on October 8, taking the total funding to $50 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

Nobody wants to hear this, but distribution is the new moat.
Almost every founder pitching me their new AI startup has no audience to sell it to.

Codie Sanchez
@Codie_Sanchez

I've been talking to a YC founder who's 15 years in and still doing big new things.
One of the biggest popular misconceptions about startups is that founders have a brilliant idea, then implement it. In fact more often than not the biggest idea comes later.

Paul Graham
@paulg

if you hate sales, don't start a startup you won't like it

Paul Mit
@pmitu

PREMIUM PLAN

Slower and cleaner commerce, anyone?

CHEW ON THIS. A new wave of grocery startups are pitching quality as the main character, even if it means giving up the 'quick' factor

Jyoti Banthia

Since taking root in India, online grocery had a simple selling point: get what you need at your doorstep and, increasingly, as quickly as possible. Now a new crop of retailers is betting that discerning consumers want more — better ingredients, fresher produce, transparent sourcing and products that fit into a healthier lifestyle.

These premium grocery businesses — FirstClub, Pluckk, Foodstories and Handpickd, among others — are pitching quality as the more important consideration, even when it means giving up some of the speed and assortment that made quick commerce popular.

The opportunity is significant, but so are the challenges. Grocery is a low-margin, high-frequency business, and premium positioning alone does not solve the problems associated with sourcing, inventory, wastage and repeat consumption.



FRESH-PICKED USP. Grocery is a low-margin, high-frequency business ISTOCK



Pratik Gupta, co-founder and CEO, Pluckk



Anant Goel, CEO, Handpickd

REDEFINING EXCLUSIVITY

When it comes to premium, consumers are not necessarily looking for imported chocolate, exotic cheese or the most expensive product on the shelf.

Instead, the greater value is increasingly attached to attributes such as freshness, clean ingredients, nutrition and provenance, says Pratik Gupta, co-founder and CEO of Pluckk.

The startup, which began by selling fruits and vegetables, soon added fresh cuts, juices, frozen products, meal kits and other wellness-focused categories.

"Consumers are increasingly prioritising clean, better-for-you food products that are free of preservatives and added sugar, deliver clear nutritional benefits such as high protein and gut-friendly ingredients," says Gupta.

The company estimates that at least 10 per cent of consumers across categories are willing to pay 30–50 per cent premium for such products.

It currently ships around three million products a month, has about two million active customers and an annualised revenue run-rate of ₹140 crore, growing at 40–50 per cent year-on-year.

Foodstories, meanwhile, sees its opportunity in the growing interest in food culture — from specialist ingredients to more considered everyday meals. "Young parents, Gen Z, expats — everyone cares much more about the quality of every ingredient on their plate," a company spokesperson says.

With more than 6,000 products across fresh and packaged foods, it is also focusing on emerging interests such as matcha, protein-rich foods, enriched flours and international caviar.

SAFETY OVER SPEED

FirstClub wants consumers to slow down — for quality.

"Everyone delivers in under 10 minutes, but we go the extra mile and check if the products are good for you," says Arvind Charanyan V, co-founder of FirstClub. The company has a portfolio of around 4,000 grocery SKUs.

"The gap was simple — no one was offering genuinely high-quality products at affordable prices," says Charanyan.

As part of quality assurance, the company says it uploads lab reports on its app and has banned more than 200 harmful ingredients on the platform.

The gambit is seemingly paying off — FirstClub's average basket size and order value are 2.5 times market standards, while customer retention is above 60 per cent.

It has expanded into the pet care, home and kitchen, cleaning essentials and oral care categories.

Handpickd is approaching the consumer shift backwards from the supply chain. Offering fresh produce and staples, the company aggregates demand and procures against actual requirement rather than holding large inventories.

"We have an assortment that feels premium but is ideally the need of the hour," says Anant Goel, founder and CEO of Handpickd.

"Traditional grocery models optimise for shelf life and inventory, while quick commerce optimises for speed. Neither is fundamentally designed around how consumers evaluate fresh food: quality, ripeness, freshness, quantity, and personal preference," Goel says.

The company says it serves more than one lakh customers across Gurugram, Noida and Bengaluru, and is growing 3-5 times year-on-year. Its average monthly wallet capture is above ₹3,000.

SPECIALITY AT SCALE

Consumers may be willing to pay more for quality, but the harder question is whether premium can scale up, especially in the case of grocery. Fresh produce has a particularly difficult operating model: inventory has a short shelf-life, quality can vary, and wastage can quickly erode margins. Handpickd's zero-stock, demand-led model is one attempt to address this worry. The need is to build models where quality is supported by strong supply-chain economics, Goel says.

Pluckk is trying to scale up through both quick commerce and offline distribution. It is present across 50 cities through quick-commerce platforms and plans to expand through modern trade and general trade across the top 10 cities. It targets ₹1,000 crore revenue over the next three years.

For FirstClub, too, the next leg is about adding more to the basket. It plans to deepen its presence in Bengaluru and Hyderabad, and expand to more cities while adding categories beyond grocery.

Foodstories, which currently caters to four cities including Pune and Ahmedabad, targets a presence in three more within three years. Its stores offer tastings and specialist guidance to nudge customers to try newer products.

FROM NICHE TO HABIT

Funding for organic grocery startups grew from $13.9 million across 21 rounds in 2021 to $34.8 million in 2022, before dropping to $8.85 million in 2023. It recovered to $29.4 million in 2024 and $35.7 million in 2025.

In 2026, the segment raised $35.8 million across just six rounds. The data points to a more selective funding environment.

The larger bet is that quality grocery can move from an occasional indulgence to an everyday habit.

Offline retailers, too, are attempting to build this behaviour by making stores more experiential, with formats that combine grocery discovery with tastings, masterclasses, cafés and maker interactions.

For the new online players, however, there is a more fundamental issue at stake: proving that quality products can be accessible, convenient and consistently delivered.

STARTUPS: VAI-THEE-FUSS

The rational business decisions behind reverse flipping



VAITHEESWARAN K

In the previous column, we discussed how several successful Indian startups domicile themselves in Singapore, the US or other countries as a practical solution to regulatory challenges. Interestingly, the traffic has started reversing. PhonePe, Groww, Zepto, Pine Labs and Flipkart are among the startups that have returned to India, albeit at considerable effort and high cost. So, why are they doing it?

The biggest reason is India's capital markets. A decade ago, an ambitious Indian startup often looked towards Nasdaq for an IPO. Today, the domestic stock markets have demonstrated a growing appetite for technology companies. Zomato, Nykaa, Policybazaar, FirstCry, Mamaearth and Swiggy have shown that Indian investors are willing to back new-age businesses, even if profitability is some distance away.

For startups with predominantly Indian customers, revenue and operations, listing at home makes sense. Moreover, Indian investors understand Indian businesses. A company built around UPI, digital commerce in India or the country's growing consumption economy may find it easier to explain its business model to domestic investors than fund managers sitting thousands of miles away. This familiarity could also translate into more appropriate valuations. Domestic capital has also grown, and Indian family offices and institutional investors are increasingly comfortable with technology businesses.

Regulatory changes have helped. India's evolving cross-border merger framework has made certain restructuring transactions easier, while the removal of angel tax and other startup-friendly measures have improved the investment environment. In September 2024, the government also introduced a fast-track merger route for eligible foreign holding companies merging into their wholly owned Indian subsidiaries, eliminating the need for NCLT approval in such cases.

However, the homecoming isn't cheap. Reverse flipping involves restructuring ownership, regulatory approvals, transferring shareholdings and complex tax implications. Yet companies have decided that the long-term benefits justify the expense.

There is a lesson here. Founders made practical business decisions to move abroad, not because they were unpatriotic. They are now making equally rational business decisions to return to India.

This is all good news, but challenges remain. It is essential we keep plugging regulatory gaps and reforming the business environment to make it easier for startups. Besides, not every Indian startup needs to be legally Indian.

An SaaS or AI company deriving most of its revenues from American customers may remain domiciled in the US. We must make this distinction, and not treat every overseas incorporation as a loss for India.

India's real achievement will be not in persuading startups to come back, but creating an environment where future founders never feel the need to leave in the first place.

The writer is a serial entrepreneur and best-selling author of the book 'Failing to Succeed'; posts on X @vaitheek

Living in a bubble... with clean air

How startup YOGa targets indoor pollution at the source

Sanjana B

In 2013, Sachin Panwar set out to examine whether air purification products imported from countries with cleaner outdoor air could handle the pollution levels in Indian cities.

Two years down the line, experiments at his home deepened his understanding of how the unit's filtration and maintenance affected indoor particulate matter levels. When outdoor particulate matter readings hovered above 200, the reading inside the house was nearly zero. When Panwar replaced the clogged filters, he noticed low readings even when the air purifier was switched off.

"We realised that the technology was largely designed for air sterilisation rather than actual purification or preventing the entry of polluted air into indoor spaces. That's why there was so much talk around ionisation and ultraviolet (UV) treatment. That distinction sparked our interest in developing a different approach to indoor air quality," says Panwar, who went on to co-found YOGa Clean Air in 2019 together with Deepak Raina and Gaurav Nagar.



PURE PLAY. YOGa Clean Air co-founders (from left) Sachin Panwar, Deepak Raina and Gaurav Nagar

The startup developed a patented 'Clean Air Bubble' technology, which filters incoming air and maintains slightly higher indoor pressure to limit the entry of polluted air from outside. It also helps control carbon dioxide levels.

When advising a Delhi school on air quality, he monitored carbon dioxide levels alongside particulate matter through the day.

"At around 2,000 ppm, people struggle to concentrate, and at 2,500 ppm, they may start feeling sleepy. We installed a basic system across 10–12 classrooms. That winter, particulate matter level remained below 15 micrograms per cubic metre, which was the WHO guideline at the time. We have also seen people with severe allergies and respiratory problems managing to live in Delhi despite the pollution with our solution," he says.

HOMES AND BEYOND

YOGa's services include site assessments, installation and annual maintenance. "We call ourselves an exposure management company because our goal is to reduce pollution exposure as much as possible, season after season," he says.

The client base includes Zomato, Tata 1mg and Varun Beverages in Mumbai, *The New York Times*' Delhi office, and 92 Cult Fit branches across cities.

Homes earlier accounted for 90–95 per cent of the business, but business-to-business (B2B) spaces now comprise 40–45 per cent, Panwar says.

The manufacturing facility in Greater Noida produces 1,500–2,000 units a month, with capacity for 5,000.

While demand traditionally peaks during winter, Panwar says there are steady orders round the year.

Much of the technology development and manufacturing is in-house, with just one component sourced from Germany. The company is exploring licensing or independent development to localise production in different cities.

It recently raised ₹20 crore funding. "We were growing 2.5 times every year. This year, we should be pushing for ₹100 crore. We are getting larger projects; our order book looks impressive," Panwar says.

Future applications in development focus on usage in cars and two-wheelers, among other environments. Available is a do-it-yourself product for cars that can lower particulate matter levels to single digit, the company says. Portable, mask-free solutions for outdoor use are in the works too.

Automating the 'future of work'

bl.interview

Jyoti Banthia

Capria Ventures, which manages assets worth about ₹2,000 crore, is sharpening its focus on enterprise artificial intelligence (AI), manufacturing automation and the broader 'future of work' opportunity. Starting off in 2013, the fund backed technology-led businesses that addressed the needs of India's rising middle-class in the areas of education, healthcare and employment and, eventually, moved to enterprise productivity and industrial capabilities.

Surya Mantha, managing partner at Capria Ventures, discusses the fund's investment strategy and exit opportunities.

Edited excerpts:

How has Capria's investment thesis evolved over the yearsy?
Our first fund focused on education, employment, healthcare and essential services. With our second fund, we sharpened our focus on job-tech, investing in platforms that improve worker discovery, matching and access to employment.

Today, our job-tech portfolio mobilises over 1.4 million gig workers each month, generating nearly ₹200 crore monthly earnings.

It reinforced our understanding of technology's potential to improve productivity and help workers move into higher-skilled roles.



> Our job-tech portfolio mobilises over 1.4 million gig workers each month, generating ₹200 crore in earnings
>
> **SURYA MANTHA**
> Managing partner, Capria Ventures

Our thesis has since expanded to the broader 'future of work' opportunity, particularly enterprise AI and manufacturing automation.

What do you look for before investing in a startup?
For us, startup quality comes down to the founder. We look for people who understand the problem deeply, address a market with real potential and have the resilience to navigate difficult periods.

Beyond the founder, technology must deliver a meaningful advantage that can endure through proprietary intellectual property, unique data or deep industry knowledge. Customers must be willing to pay for the solution.

Where do you see the biggest underfunded opportunities in India?
Enterprise AI offers opportunities in supply-chain coordination, sales productivity and factory automation, where domain expertise and measurable customer value can create a competitive advantage.

Manufacturing is another significant opportunity. The China+1 shift gives India an opening, but companies must move up the value chain through engineering, automation and intellectual property-led production.

In health-tech, technology can extend clinical expertise, improve diagnostic accuracy and make quality healthcare more accessible beyond major cities.

What is your approach to capital deployment and exits?
Our first cheque ranges from ₹5 crore to ₹15 crore, and we plan to back around 25 companies from our current fund.

We also reserve capital for follow-on investments, prioritising companies with strong execution and sound unit economics.

Strategic acquisitions and secondary sales remain important exit routes, while IPOs have emerged as a more meaningful option in recent years. Our exits include Awign, acquired by Japan-based Mynavi Corporation; Lab in App; Predible Health; UE Life Sciences; and SalesKen.

DATA BANK.

Affordable housing commands 68 per cent of loan disbursals

While the broader credit market shows a noticeable shift toward higher-ticket loans, the affordable housing segment remains the absolute volume anchor for Indian housing finance, with 68 per cent of all loan disbursements valued at ₹25 lakh or less, according to a report by CRIF Credit Information Services.

The credit information company noted that this segment continues to spearhead deep financial inclusion by increasing credit flow to 'beyond top 100' cities, expanding women's participation in loan originations, and ushering into the formal financial ecosystem a critical wave of new-to-credit customers.

Asset quality trends are equally resilient. Affordable housing portfolios have demonstrated marked improvements in delinquency control across product types and borrower risk profiles. Notably, states like Uttar Pradesh and Rajasthan are outpacing national growth averages while maintaining superior portfolio performance.

The sub-₹25 lakh portfolio outstanding (POS) has sustained a 5 per cent compound annual growth rate (CAGR) over five years, even as its share declined to 28.7 per cent as on August-end 2026 (₹13.2 lakh crore) against 42.7 per cent as on August-end 2021 (₹10.3 lakh crore).

CRIF said borrowers are shifting out of the sub-₹25 lakh bracket in housing loans due to reasons such as the rising cost of construction and land; rising household income driving demand for larger spaces and better amenities; the tightening of credit parameters for low-income brackets; borrowers bypassing formal housing loans in favour of other credit products such as gold loans; and a combination of rising property cost and diminishing inventory in the sub-₹30 lakh segment.

Housing finance companies (HFCs) are strengthening their foothold — expanding share from 26.9 per cent in August 2021 to 31.4 per cent in August 2026 — while public sector banks (PSBs) are retreating from the sub-₹25 lakh segment, according to CRIF. Moreover, the year-on-year (yoy) growth rate of HFCs outpaces that of PSBs.

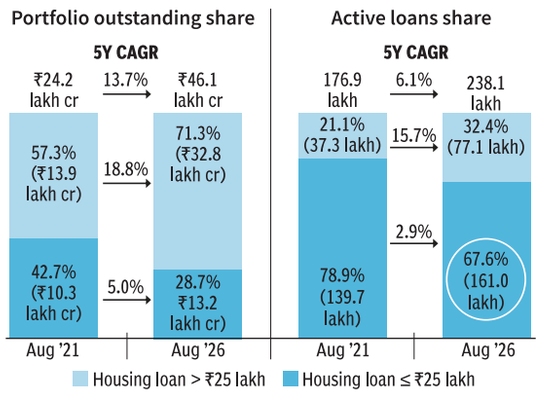
Affordable housing loan products also bring in more new-to-credit borrowers, with 21-22 per cent of originations volume from first-time borrowers, compared to 14 per cent for loans above ₹25 lakh.

Micro LAP

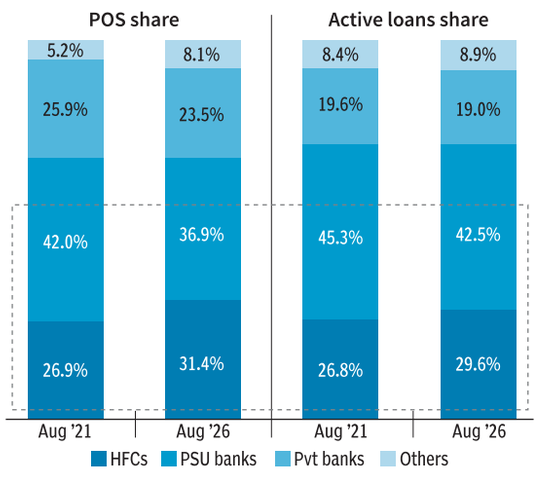
Micro loan against property (LAP) — property loan up to ₹25 lakh — presents an even more promising picture, CRIF said. It constitutes a dominant 85.6 per cent of overall property loans, recording growth on par with high-ticket LAP.

Micro LAP has delivered a strong 20 per cent CAGR in both POS and active loans over five years, driven by HFCs (26 per cent five-year CAGR in POS), non-banking financial companies (33.2 per cent in sub-₹10 lakh, 24 per cent in ₹10-25 lakh), and small finance banks (50–60 per cent five-year CAGR for POS, albeit from a smaller base). This underscores the segment's consistent momentum. The current POS stands at ₹4.7 lakh crore, comprising 83 lakh loans.

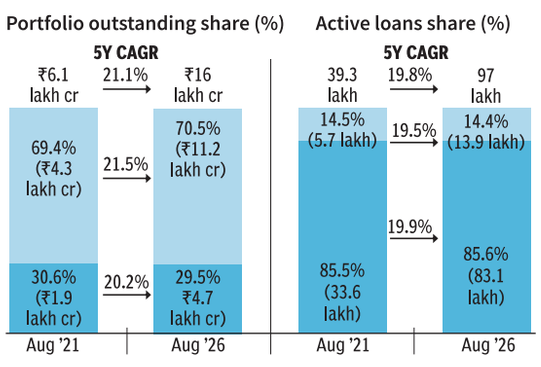
Portfolio snapshot — overall housing loans



HFCs are gaining strongly in the affordable housing space



Portfolio snapshot — overall property loans



Source: CRIF

REGULATING DISTRIBUTION

Insurance reforms spark unease

COVER ALL. Industry stakeholders call for balancing policyholder welfare with protection of jobs, growth and investments

G Naga Sridhar



PROTECTING EARNINGS. About 15 lakh life insurance agents are worried that the proposed reforms will cut into their remuneration ISTOCK

The insurance industry is at a crossroads, thanks to a significant line-up of regulatory reforms that have become a widely debated topic among insurers and other stakeholders.

In September, the Insurance Regulatory and Development Authority of India (IRDAI) proposed, in a consultation paper, a slew of distribution reforms. While the reforms were long anticipated, the proposals were perhaps the most radical in the regulatory regime in recent times.

According to the consultation paper, titled 'Recalibrating economics of insurance distribution' and released on September 23, the regulator proposed establishing a "customer-centric, competitive, efficient and transparent distribution ecosystem, while enabling better and sustainable outcomes for policyholders, insurers and distributors".

The key proposals include recalibration of expenses of management (EoM) through lower limits, with a phased glide path.

For life insurers, the EoM limit would move to a company-level basis linked to gross direct premium income (GDPI), and proposed at 15 per cent within two years and 12.5 per cent within five years.

For general insurers, the basis would shift from gross written premium (GWP) to domestic GDPI, with the EoM limit reducing from 30 per cent of GWP to 20 per cent of GDPI within five years.

Other key proposals seek to eliminate the scope for regulatory arbitrage, removal of restrictions on non-insurance business opportunities for intermediaries, easing the entry and capital requirements, lower limits on expenses management, and revision of commission norms.

The authority proposed to replace the existing complex and fragmented architecture with three broad categories of distribution entities — namely insurance distribution entities (IDEs), insurance distribution persons (IDPs), and market infrastructure institutions (MIIs).

This is guided by the principle of "same structure, same functions, same norms", IRDAI said.

CONCERNS RAISED

All stakeholders, except policyholders, have raised concerns over the proposals. While insurers have not responded officially yet, they have expressed significant reservations to the authority.

"We have submitted our objections to some of the proposals that could adversely affect operational dynamics for insurance companies," the MD and Chief Executive Officer of a general insurance company told *businessline*, while declining to be named.

"From an industry perspective, I suppose the resistance from insurance companies to these reforms is very strong, compared to any other regulatory changes brought so far," he added.

The Insurance Brokers Association of India (IBAI) also voiced strong opposition in its response to the authority. It questioned the regulator's position on EoM, stating that "the evidence does not support the remedy" and argued that EoM in general insurance fell from 28.2 per cent of premium in FY23 to 26.5 per cent in FY25, while premium grew about 13 per cent a year.

It added that the reported rise in commission largely reflects the reclassification of payments previously booked under other heads, which the paper also acknowledges.

"Where cost is high, the consultation paper's own figures place it in forced sales, where the policyholder has no choice: loan-linked credit life pays 42–45 per cent; dealer controlled motor pays up to 75 per cent. Independent brokers and agents average 17–18 per cent and brokers serving corporate clients 6–11 per cent," it said.

In a letter to Prime Minister Narendra Modi on October 2, the IBAI cautioned that the proposed reforms could lead to loss of jobs and growth, and reduce competition in the industry.

According to Narendra Bharindwal , President of IBAI, the PM's intervention was sought to ensure that no regulation on commission or expense limits is notified without a published impact assessment covering policyholders, employment, public sector insurers and foreign investment, and to continue with the 2023 framework until its scheduled review in 2028.

"This is not an argument against reform; it is an argument for reform that reaches the policyholder," he said.

About 15 lakh life insurance agents, too, are worried over the likely reduction in remuneration and have requested the IRDAI to avoid a "disproportionate" cut under the proposed reforms.

FAIR TREATMENT

The representation also sought a level playing field for individual agents by ensuring "fair" treatment to all intermediaries, including corporate agents, banks and digital platforms.

"Cost-efficiency should not be pursued in a manner that reduces the number of active agents or leaves the profession economically unsustainable," B Markandeyulu, Secretary General of the Life Insurance Agents Federation of India (LIAFI), said.

The proposed reforms come at a stage when the industry is registering healthy growth. As per IRDAI data, life insurers' first-year premium rose 20.6 per cent year-on-year at ₹2.46 lakh crore during April–September FY26, against ₹2.04 lakh crore in the corresponding period last year, driven by a growth in both individual and group single-premium policies.

The non-life insurance industry recorded 11.74 per cent year-on-year growth in gross direct premium underwritten during the first half of FY27, excluding specialised insurers. Together with specialised insurers, the industry's premium grew 8.92 per cent to ₹1,79,712 crore from ₹1,64,987 crore in the first half of FY26.

While the IRDAI is keen on fostering a policyholder-friendly insurance ecosystem in the context of the rising worry that higher commissions may be leading to mis-selling of insurance, it remains to be seen how it will balance this against the concerns of the industry and the need to ensure a friction-free path to achieving the 'insurance for all' goal by 2047.

MPC: Currency, credit, credibility gain focus

The RBI's monetary policy mentioned rising inflation, but the underlying iceberg called 'currency' is stealing the slow



ANITHA RANGAN



ISTOCK

The RBI has raised the repo rate by 25 basis points (bps), as widely expected, and, to the surprise of some, changed its stance by guiding that further hikes are down the road. While much of the policy spoke about rising inflation and the need to counter it amidst a healthy economic growth, there is an underlying iceberg called "currency", which has been stealing the slow.

Yes, inflation pressures are rising and probably getting closer to, or beyond the upper band of the tolerance level of 6 per cent and could stay there for two to three quarters. And, not to forget, inflation expectations are now around 10 per cent up to one year. Yes, a bulk of this is food, led by poor monsoon, and, needless to say, geopolitics but the argument that the central bank cannot control supply-side factors is only up to the point when it is first-order inflation or direct inflation.

When the impact from rising prices starts getting embedded into second order or finished goods and then wages, risking wage price spiral, the central banks have to step in.

But is it only inflation and growth? Why currency matters? India's annual merchandise imports (last 12 months) are $830 billion and exports $476 billion. As we import more of finished goods and non-discretionary items including oil, the pass through from a depreciating currency can be much faster. And that links the inflation to the currency. In addition, stability of currency is a key barometer to attract capital flows.

In a scenario of large currency depreciation — like in the case of India's 4.7 per cent in 2025, 7 per cent YTD (year-to-date) — foreign portfolio investments can remain elusive, as their return is eroded to the extent of rupee depreciation. Since India has a structural current account deficit (net dollar inflows, including exports and remittances, are lower than the outflows from imports and outward payments), which has been funded by capital flows, an eroding capital flow is a fundamental challenge.

TEMPORARY LIQUIDITY

The RBI in its policy did highlight that the external risks are an area of concern and has been doing so since its April 2026 policy. But the policy measures from the RBI have not convinced the currency market yet. Why?

First, a foreign currency non-resident (bank) — or FCNR (B) — deposit is a borrowing, And this borrowing comes with an equivalent liability in terms of a large outstanding short-forward book. The RBI already had a short-forward book of $103 billion prior to the FCNR. Therefore, FCNR accretion to reserves is only a temporary liquidity, which has only ballooned the repayment obligations. As of August the forward book swelled to $200 billion. The adjusted forward book for FCNR has only declined. Notably, the very premise of currency depreciation to be contained via FCNR has been short-lived. The rupee is closer to May 2026 lows (96.96 per dollar).

Second, if it worked in 2013 (through 6-7 per cent appreciation in currency), why may it not have performed similarly? Capital flows were not a challenge then. Global rates were very low, making the proposition easier. Liquidity was in deficit and the RBI could raise the marginal standing facility (MSF) rate prior to FCNR.

Capital flows were already a challenge for two years prior to the FCNR deposit mobilisation by banks under the RBI's special dollar-rupee forex swap facility. This time the RBI must bear the entire swap cost. Preceded by surplus liquidity, the FCNR has created a problem of liquidity deluge.

This deluge can given banks a welcome breather and they need not rush to raise deposit rates during repo hikes while enjoying the rise in lending rates. But there could be some distortions. The RBI governor's statement did note that surplus liquidity led to distortion in rates: "Transmission in the credit market reflected dissimilar movements in deposit and lending rates during July-August." Noting that short-term rates have eased while government securities yields hardened, the RBI is most likely uncomfortable with high system liquidity. If we observe YTD credit growth (April to August) 4.8 per cent, an annualised growth of 11-12 per cent for the full year emerges.

The wave of 19-20 per cent growth was led by a bout of inflationary working capital demand in May, which is since normalising. Beyond FCNR, structural deposit growth could once again come to test at elevated credit-deposit (CD) ratios.

BUYING TIME

Then why did the RBI not announce any liquidity measures? Probably after testing most of the measures on the table — namely longer variable rate reverse repo (VRRR) , open market operation (OMO) sales and sell-buy swaps, none of which have been frictionless — the RBI is probably buying time for liquidity to run its course. Incremental hike in the cash reserve ratio (CRR) is the option they have not explored yet.

Is that why it stopped short at 25, when perhaps 50 bps was needed? In a surplus liquidity scenario, when transmission could be slow, a larger hike will only further distort the lending and borrowing markets. But what other options are on the table when the external risks are high, driving currency volatility further.

Note that RBI reserves are not in significant surplus — in comparison with $133 billion of FCNR, reserve accretion from June 12 to October 2 is $63 billion. The gap of $80 billion was spent in unwinding the existing forward book, sell-buy swaps, and valuation adjustments. Liabilities are building.

Global central banks are hiking — Indonesia hiked 100 bps (May-June) for its currency defence. South Korea 50 bps, Philippines 75 bps, South Africa 50 bps, Australia 100 bps, New Zealand 50 bps — either for currency, inflation or both.

Therefore, the call is for more. External yields and rates give better cues. Currency defence is about not just interest rate differential, but also getting entrenched in inflation and impacting financial stability. Currency is the mirror that reflects fundamentals and a credibility valve that stabilises imbalances.

The RBI may have to hike at the pace of 50 bps and not necessarily wait for eight more weeks. There is many a slip twixt the cup and the lip. May 4, 2022 (off-cycle monetary policy committee meeting), may be in the calling.

The writer is Chief Economist, RBL Bank

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